Isle of Man
COUNTERING FINANCIAL CRIME
An all-Island approach

Isle of Man National Risk Assessment

Virtual Assets and Virtual Assets Service Providers

APRIL 2026

In this Assessment

This sectoral National Risk Assessment considers the money laundering (ML), terrorist financing (TF) and proliferation financing (PF) risks arising from the use of Virtual Assets (VAs) and Virtual Asset Service Providers (VASPs) operating in, or from, the Isle of Man.

In summary, the assessment finds that:

- The domestic VASP sector is small in scale but internationally exposed. In 2025, there were 19 registered VASPs, of which 4 were active, servicing approximately **1.3%** of customers across all FSA-reporting sectors. Despite its limited economic footprint, the sector is outward-facing, with the vast majority of customers and transaction flows linked to the UK and other overseas jurisdictions.
- The assessment concludes that the VAs and VASP sector in the IOM presents a **Medium** ML risk, while TF and PF risks are assessed as **Very Low**. Residual risks are mitigated by the small domestic footprint, strong entry controls, and the absence of evidence of domestic terrorist or proliferation financing involving VAs.
- ML risk is primarily driven by overseas predicate crime and cross-border activity. ML threats linked to VAs and VASPs are predominantly incoming and internationally generated, with limited evidence of significant domestic predicate offending involving VAs. Stablecoins, particularly USDT, feature increasingly in ongoing ML investigations and SARs, reflecting global typologies rather than domestic misuse.
- VASPs operating in the Isle of Man do not offer privacy coins or other anonymity-enhancing services. However, **25%** of registered VASPs permit, or intend to permit, transfers to unhosted wallets, creating exposure to risks arising outside the Island's regulatory perimeter.
- Exposure to VAs in other regulated sectors is limited and controlled. Interaction between VASPs and banks, insurers and other financial institutions remains very low. Online gambling operators may accept VAs only under tightly controlled models that require conversion to fiat via regulated VASPs, with enhanced supervision applied.
- The Isle of Man's AML/CFT/CPF framework materially mitigates inherent VA risks. VASPs are subject to registration, fit-and-proper requirements, risk-based supervision and inspection by the FSA, alongside mandatory business, customer and technology risk assessments. The introduction of the Travel Rule in 2024 and an enhanced supervisory approach have strengthened controls across the sector.

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CHAPTER 1

Introduction from the Chair of the Financial Crime Strategic Board



Dan Davies
Chair of the Financial Crime Strategic Board and Chief Officer of Home Affairs

I am pleased to introduce this risk assessment for Virtual Assets and Virtual Asset Service Providers. This is a comprehensive sectoral report which addresses the risks associated with money laundering, terrorist financing, and proliferation financing for both the VASP sector and the use of VAs in the Isle of Man. The Financial Crime Strategic Board (FCSB) would like to extend its thanks to regulators, law enforcement agencies, government departments and representatives from industry, notably the VASP sector. Their support in producing this assessment, including those who contributed through targeted engagement and data gathering, has been invaluable. Special thanks are also extended to XReg Consulting for their valuable expertise throughout this process.

Since the publication of the last National Risk Assessment in 2020, the VA landscape has evolved rapidly. Global adoption of VAs has increased, technology has advanced significantly, and new and sophisticated financial crime threats have emerged. These threats relate directly to VAs but also reflect an increasingly sophisticated approach to criminality more broadly.

International criminals have sought to exploit the inherent features of VAs such as anonymity, the speed of cross-border transfers, and inconsistencies in global regulatory frameworks. These developments have tested the adaptability of supervisors, law enforcement and industry in equal measure.

Despite these challenges, the response from the Isle of Man authorities, and the sector itself has been strong and proactive. The FSA has enhanced its supervisory approach, strengthened its expertise, continued proactive engagement with the sector, introduced the "Travel Rule" requirements, and deepened its understanding of VA related risks. Collaborative work with law enforcement, including increased use of blockchain analytics and multi-agency investigations and asset seizures, has further strengthened the Island's resilience. These efforts have led to improved controls, better risk identification, and a more mature and robust compliance culture across active VASPs.

Although the registered VASP sector remains small relative to other parts of the financial services industry, it continues to form an important component of the Isle of Man's innovation driven economy. The sector contributes positively to technological development and supports wider digital transformation efforts across financial and professional services.

The work undertaken by all stakeholders is having a demonstrable impact in safeguarding the integrity of the VA ecosystem. As criminal methodologies evolve, it remains vital that the Island continues to build capability, strengthen data collection, enhance technical expertise and maintain a forward-looking approach to emerging financial crime risks. This will help ensure that the Isle of Man remains open for reputable, well-regulated business and resilient in the face of global developments. ■

2. Executive summary

This executive summary outlines the principal findings from the Isle of Man's first standalone VA and VASP sector ML/TF/PF Risk Assessment. It complements the broader National Risk Assessment framework and reflects updates in global standards, supervisory expectations and technological developments since the last 2020 ML/TF NRA.

The VASP sector remains very small in economic terms but plays an important role within the Island's digital and financial ecosystem. The sector mainly serves non-resident customers and provides custody and administration services, VA-to-VA and VA-to-fiat exchange and brokering through OTC or dealer-type models. The sector is defined in **Section 3**, including details of active VASPs and ancillary VA-related exposure in other regulated industries.

Internationally, it is observed that Offshore Virtual Asset Service Providers (oVASPs) present a wide range of risk profiles, influenced by differences in regulatory maturity, market development, sector composition, and the scale of cross-border financial activity. At the same time, the nature of VAs themselves, including their mobility, speed of transfer, anonymity-enhancing features and rapid innovation cycle means the risk landscape evolves more quickly than in traditional financial services.

Domestically, it is important to note that VASPs on the Island are subject to the AML/CFT Code, which prohibits anonymous business relationships. Agencies are not aware of any domestic VASPs offering privacy-enhancing VA products or anonymity-focused services.

The emerging risks have intensified in a fast-moving, technology-driven environment. Criminal groups increasingly exploit advanced technologies cyber-attacks, phishing, malware, spoofed or synthetic identities, chain-hopping, mixers/tumblers and exploitation of VAs within broader fraud ecosystems. These trends intersect with complex business models, including relationships involving oVASPs, online gaming operators, payment service providers and unregulated third-party platforms. A notable risk is the rapid establishment of VA-related operations using pre-packaged or outsourced business models, enabling criminals to create the appearance of legitimacy, obtain banking relationships, and move illicit funds across multiple jurisdictions with limited scrutiny.

This risk assessment provides a substantially more detailed evaluation of these risks and represents a significant enhancement from the 2020 ML/TF NRA, incorporating improved data, new threat intelligence, supervisory insights and revised World Bank methodology specific to VAs and the VASP sector.

Additional consideration has been given to the evolving risks associated with VA-related services used by online gaming operators or other regulated entities. However, where these businesses fall outside Designated Non-Financial Business or Profession (DNFBP) scope, the assessment limits itself to identifying relevant risk interfaces rather than producing standalone ratings. A separate risk assessment for the Online Gambling sector has been published, which includes analysis of the linkages between VAs and the VASP sector and online gaming. ›

"Internationally, it is observed that oVASPs present a wide range of risk profiles, influenced by differences in regulatory maturity, market development, sector composition, and the scale of cross-border financial activity."

Key Highlights from the Assessment

Sector Size and Activity: As at December 2025, 19 VASPs were registered in the Isle of Man, with 4 active providers. Domestic VASP-related activity forms only a minimal proportion of national income, however, its linkages to other material sectors, particularly online gambling, banking and TCSPs as well as contributing to financial flows in and out of the Island, means ML risks remain present.

The majority of the VASP sector services relates to exchange and brokerage-type activity, and some domestic VASPs are connected to wider group structures overseas. Certain VA-related businesses (e.g., software developers, technical service providers) fall outside international AML/CFT/CPF standards, though their supporting infrastructure such as banking and TCSPs, sit firmly within the regulated perimeter.

Most domestic VASPs make use of professional services, particularly Isle of Man-regulated TCSPs, to fulfil key roles such as directors, MLROs, principals or operational managers. This introduces dependencies and potential vulnerabilities, such as structural opacity or concentration of control, examined further in **Section 8**.

The Financial Services Authority (FSA) has a VASP registration process in place which mandates that a VASP entity maintains a real presence on the Island. The FSA has implemented a risk-based supervisory framework in relation to the AML/CFT/CPF supervision of VASPs, which includes thematic reviews, assessment of Travel Rule[1] implementation, and risk-based supervisory inspections.

International Profile: The vast majority of VASP customers and nearly all transaction flows are international which is in line with the other financial services and DNFBP sectors and the IFC nature of the Isle of Man. The majority of customers are resident in the UK, followed by the IOM, although in terms of domestic customers exposure is minimal. Other countries where customers are resident include Australia, Italy and France. This international footprint heightens exposure to foreign predicate crime and cross-border laundering risks.

Risk Assessment: Under the revised VAs and VASPs World Bank methodology published in late 2025, overall VAs (as a product) and domestic VASPs (as a sector) present a **Medium** ML risk level; this has decreased since the assessment in the last 2020 NRA. However, the threat level remains elevated due to the emerging risks and overseas predicate crime, assessed as **Medium High.**

Where exposure to VAs arises only indirectly, for example, when online gambling operators use VASPs to convert VAs into fiat, the risk is lower. These transactions are smaller in volume and take place within a tighter, highly regulated licensing framework.

TF and **PF** risks in the VASP sector remain assessed as **Very Low**, reflecting the limited scale of confirmed cases. TF risks mainly relate to the potential use of VASPs for small cross-border donations, peer-to-peer transfers, unhosted wallets and anonymity-enhancing features that reduce traceability. PF risks stem from the possible misuse of VASPs to evade sanctions through rapid cross-border transfers, links to high-risk jurisdictions and reduced visibility over counterparties in complex or foreign VASP arrangements.

Inherent Vulnerabilities: The inherent vulnerabilities relating to VAs and VASPs is **Medium**. This derives from the rapid movement of value across borders, non-face-to-face relationships, the features of VAs such as the potential to obscure transaction and identity and the use of unhosted wallet activity which also carries greater exposure. ›

Trends and Emerging Risks: The convergence of organised crime and the VA ecosystem present significant risk. Criminal infiltration, misuse of VASPs for fraud proceeds, rapid cross-border movement of stablecoins, and exploitation of weak foreign controls are recurring themes. There is increasing evidence of sophisticated organised crime groups (OCGs) using VAs as part of wider fraud, romance-scam, cybercrime and layering networks.

Addressing these challenges requires strong cooperation across regulators, the FIU, law enforcement, and international partners. Enhanced intelligence-sharing, early identification of typologies, and outreach to associated sectors, notably banking, TCSPs, online gambling, accountancy and legal services, remains critical.

Competent Authorities and industry must remain alert to emerging typologies. A coordinated Island-wide response including strengthened supervisory expectations, advanced analytics, and targeted training are essential to maintaining the resilience of the VA ecosystem and preventing criminal exploitation.

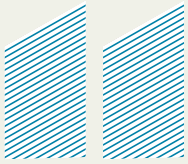
Supervisory and Legal Framework: The Isle of Man maintains a comprehensive legal and supervisory framework for VASPs, building on the previous NRA and previous positive mutual evaluations.

The Island's AML/CFT/CFT framework was further strengthened following the 2016 MONEYVAL review, notably through expanded sanctioning powers relating to identified deficiencies relating to preventative measures and controls in respect of AML/CFT/CFP and the enhancements made to the Gambling and AML/CFT Codes where relevant and associated guidance for the sector. The FSA also introduced Travel Rule requirements from 2024.

The GSC permits online operators to accept VAs through VASPs. Which must be subject to regulation to FATF standards., Activity is concentrated in stablecoins and no exposure to privacy coins. Operators with VA exposure are classified as higher risk and therefore subject to enhanced AML/CFT/CPF controls, including specific guidance outlining the need for blockchain-analytics capabilities, and increased monitoring.

Further information on detailed sector characteristics is included in **Section 3.**

Summary of Proposed Actions: This risk assessment identifies a number of areas for improvement; these are aligned to the strategic aims from the National Financial Crime Strategy 2024–2026. Future actions should focus on enhancing risk understanding, strengthening collaboration and improving the Island's capability to identify and mitigate emerging threats within the VA ecosystem. ›



The convergence of organised crime and the VA ecosystem present significant risk. Criminal infiltration, misuse of VASPs for fraud proceeds, rapid cross-border movement of stablecoins, and exploitation of weak foreign controls are recurring themes. There is increasing evidence of sophisticated OCGs using VAs as part of wider fraud, romance-scam, cybercrime and layering networks."

THE ACTIONS ARE SUMMARISED BELOW:

Public sector and industry work together to achieve a common goal of meeting international standards. See Sections 3. Introduction and 8. Inherent Vulnerabilities

- The IOMFCP groups should consider undertaking work to understand VA-specific risks, formalising intelligence-sharing arrangements, and expanding outreach to operators and professional services sectors on new typologies and technology risks.
- Work should be undertaken to address data and information gaps to support future NRAs in line with the World Bank's recently published methodology on VAs and VASPs, ensuring more robust and consistent data collection for risk assessment purposes.
- In addition, data should be gathered in relation to financial flow activity by VASP entities.
- Continue to enhance law enforcement capacity and capability in relation to VAs by increasing specialist resources, training and technical capacity to investigate, trace and prosecute ML/TF/PF activity involving VAs and VASPs, including strengthening the use of blockchain analytics and cross-border cooperation mechanisms.
- At the appropriate time, consider the application of a broader regulatory framework for VASPs, beyond AML/CFT/CPF requirements, to address prudential, conduct and market integrity risks.

Actions are informed and driven by best practices and standards, both domestically and internationally. See Section 9. Controls Assessment

- The FSA should continue to conduct risk-based supervision on the sector, taking into account the findings from this NRA. Further improvements can be made which the FSA considers can be driven by the continuation of inspections and the publication of thematic and inspections results.
- The FSA should enhance its controls over inactive VASPs, including a review of registration conditions, ongoing obligations and potential de-registration thresholds, to mitigate risks associated with a disproportionately high number of registered but inactive entities.
- The FSA should continue to regularly monitor and strengthen entry controls in order to ensure they remain relevant and appropriate in respect of emerging typologies and evolving international standards. There should be enhanced scrutiny at the application stage through more detailed assessment of applicants' business models, product offerings and inherent risk profiles, and by requiring timely notification of any material changes to registered VASPs' activities, with such changes triggering supervisory review and updates to VASP's processes and documentation.
- The FSA should further develop the ongoing screening of controlled function holders.
- The FSA should, via engagement and data collection with other sectors, improve its understanding of other financial institutions' exposure to VAs and VASPs.

All stakeholders have the resources they need to effectively identify and respond to ML/TF/FP threats. See Sections 2/Executive Summary, 7/ML/TF/PF Threats and 8/Inherent Vulnerabilities

- The sector should review the findings of this risk assessment and ensure that identified actions are adopted into business, customer, and technology risk assessments as appropriate.
- The FSA should update the AML/CFT Sector Guidance for VASPs.

3. Introduction

This standalone report forms part of the overall 2025/26 National Risk Assessment (NRA). The Isle of Man is publishing a number of risk assessment reports which focus on ML, TF, and PF, along with a number of specific sectoral and topical risk assessments, including this VAs and VASPs risk assessment. This assessment examines ML/TF/PF threats, inherent vulnerabilities linked to VA technologies, business models and cross-border exposure, as well as the effectiveness of existing supervisory and regulatory controls relating to VASPs established in the IOM.

The risk assessment does not seek to unnecessarily duplicate the comprehensive work which supports the previous NRAs. Additionally, "A Profile of the Isle of Man (2025)[2]" document has been published, which provides further background information concerning the political, economic and legal structures in the IOM.

The assessment highlights that the domestic VASP sector[3] remains small in scale relative to the Island's wider financial services industry. As at the end of December 2025, there were 4 active firms, with around 100 members of staff, representing approximately **1.3%** of total customers serviced by FSA-reporting sectors. While limited in economic size, the sector presents inherent ML/TF/PF vulnerabilities due to its cross-border nature, technology-driven delivery models, and rapid transaction flows. The IOM's reported Gross Domestic Product (GDP) in 2023/24 was approximately £5.8bn. Significant contributors to the economy include Insurance (**17%**), online gambling (**14%**), Banking (**9%**), Corporate Service Providers (**3%**), Legal & Accountancy (**2%**), and Other Finance & Business (**10%**). The domestic VASP sector currently represents a minimal proportion of national income.

As an established IFC, the IOM is exposed to ML/TF/PF threats that arise from predicate offences that take place outside the IOM. As with most IFCs, previous NRAs (including the most recent 2026 NRA) have highlighted that the services provided in the IOM may be used to conceal the proceeds of crime or to conceal or disguise the origins of those proceeds, through international transfers of funds and in some instances, the use of complex corporate structures. In line with many of the Island's sectors, the VASPs' customer base is predominantly non-resident, mostly from the UK, which means that activities and transactions that result in funds being linked to the Island largely take place outside the jurisdiction.

International criminals are increasingly looking to exploit vulnerabilities in VAs and VASPs to launder the proceeds of crime or to fund terrorist activities and the proliferation of weapons of mass destruction. This report assesses the threats and vulnerabilities relating to both VAs and VASPs in the IOM, including the exposure to VAs in other sectors, and the effectiveness of the mitigating controls in place at both a national and service providers' level.

How Industry Should use this Report

Businesses in the regulated sector, and those subject to registration requirements are obliged to undertake and maintain a Business Risk Assessment (BRA) which must have regard to any relevant findings of the most recent NRA relating to the Island. Therefore, industry must be able to show how they have considered and mitigated the relevant risks identified in this report.

Given a number of NRAs are being published over several months, it is acceptable to consider each NRA as it is published but update the overall BRA at its next formal review date. Consideration should be given to the Customer Risk Assessment (CRA) and Technology Risk Assessment (TRA) and if these require updating.

Given the interconnected nature of VAs with other material sectors including banking, TCSPs and online gambling, the FCSB ›

encourages all regulated financial institutions and designated businesses to consider the implications of this assessment for their own operations. Entities with indirect or occasional exposure to VAs should likewise consider whether updates to internal controls are required. A high-level summary of the findings of this report is also included in the Money Laundering NRA.

Methodology

In developing the methodology to apply for this risk assessment, consideration has been given to guidance issued by several international institutions, including the Financial Action Task Force (FATF), the World Bank (WB) and the Royal United Services Institute (RUSI). The Island has applied the WB methodology when carrying out its broader risk assessment and the sectoral assessment of other sectors.

This Risk Assessment uses the revised WB methodology, published in late 2025, to assess the ML and TF risks posed by VAs and the domestic VASP sector. The revised tool allows for a tiered approach, to cater for jurisdictions at varying stages of capacity and market development. Based on the criteria provided, the IOM has used the "intermediate" tier.

The methodology takes account of the overall ML and TF threats, the vulnerabilities relevant to VAs and the VASP sector in the IOM and assesses the effectiveness of the controls in place to mitigate the risks, including the legal, supervisory and law enforcement framework, and the AML/CFT/CPF controls in place by the sector and other sectors with VA exposure in the IOM.

Data, statistics, and information used for completing the risk assessment tool modules, as well as findings, interpretation, and judgement under the scope of the Risk Assessment, completely belong to the IOM authorities and do not reflect the views of the World Bank Group.

An assessment of the PF risks relating to VAs and the VASP sector has been conducted using a hybrid approach, taking account the WB methodology, FATF and RUSI guidance.

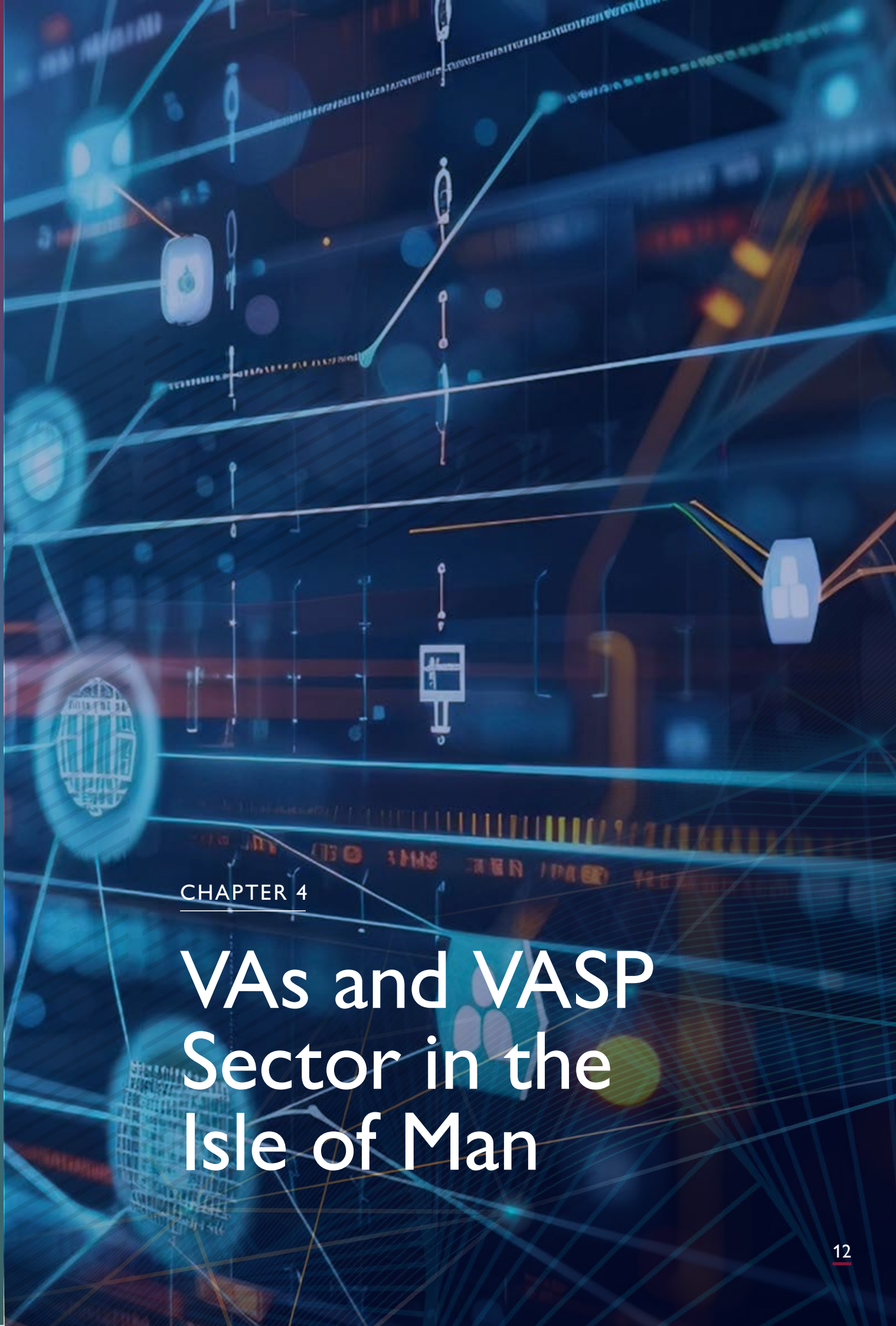
Data used

This risk assessment uses the best available qualitative and quantitative data from 2020 to 2025 inclusive. These five years represent the period since publication of the last NRA. The data available on VASPs is more comprehensive now than it has ever been in the past due to the submission of supervisory AML/CFT returns and continued industry engagement.

There are several sources, with the main ones being:

- data obtained from the FSA, including data collected from the annual (and ad-hoc) AML/CFT/CPF returns submitted by VASPs and other regulated sectors;
- data obtained from requests to industry solely for the purpose of this risk assessment;
- data from the Financial Intelligence Unit (FIU);
- data from the Proactive International Money Laundering Team (PIMLIT);
- data obtained from the Gambling Supervision Commission (GSC);
- data obtained from the Income Tax Division; and
- data from the International Cooperation and Asset Recovery Team (ICART) on Mutual Legal Assistance.

In addition, various externally published documents have been consulted, including several NRAs and Mutual Evaluation Reports from other countries, including the United Kingdom, given its close ties to the Island, to consider any relevant risks. The assessment has been prepared using informed judgement from the Island's key agencies, government, regulators and industry representatives. ■



CHAPTER 4

VAs and VASP Sector in the Isle of Man

4. VAs and VASP Sector in the Isle of Man

Characteristics of the domestic VASP sector

The VASP sector in the IOM remains small relative to the financial services sector, with 19 VASPs on the FSA register (end of December 2025) out of which four are operational, and one firm reported that it was in the process of dissolving the company. Inactive firms are often firms incubating business ideas or building technical back-office systems and processes before offering to customers, these firms are still required to abide by all the AML/CFT/CPF controls within the jurisdiction and still form part of the oversight framework and engagement model.

Figure 1 – FSA Registered and Active VASPs

	2022	2023	2024	2025
Registered VASPs	20	21	20	19
Active VASPs	4	4	5	4

The main services offered by Isle of Man VASPs include VA custody and administration, VA-to-VA exchange, VA-to-fiat exchange, and receiving or transmitting orders for virtual assets.

There are no global exchanges registered in the IOM. The registered firms operate a broker/dealer or over the counter (OTC) type model, using proprietary capital to execute bilateral trades with customers, and liquidity providers, focusing on the exchange of VAs to fiat, and vice versa. Services offered also include facilitating the acceptance of VAs and a means of payment for goods and services. One VASP reported to offer loans in fiat currency backed by Bitcoin as collateral.

Some VASPs have registered or are licensed in the EU to provide services to their EU customer base. Some have reported to be looking to expand their regulatory footprint, seeking authorisation in the UK and Dubai.

At present there are no VA issuers or Initial Coin Offerings (ICOs) active in the IOM. Any firm looking to issue a VA (that does not meet the definition of a stablecoin) would need to register with the FSA as a Designated Business and comply with the AML/CFT/CPF measures in place. Stablecoin issuers need to be authorised by the FSA as a Class 8 - Money Transmission Services licenceholder.

There has previously been a GBP denominated stablecoin that was issued from the IOM, on 14 January 2025, the FSA, with the agreement of the firm, temporarily suspended the authorisation, "due to the licence holder ceasing to employ persons competent to undertake the regulated activity and being unable to comply with the Authority's regulatory requirements". ›

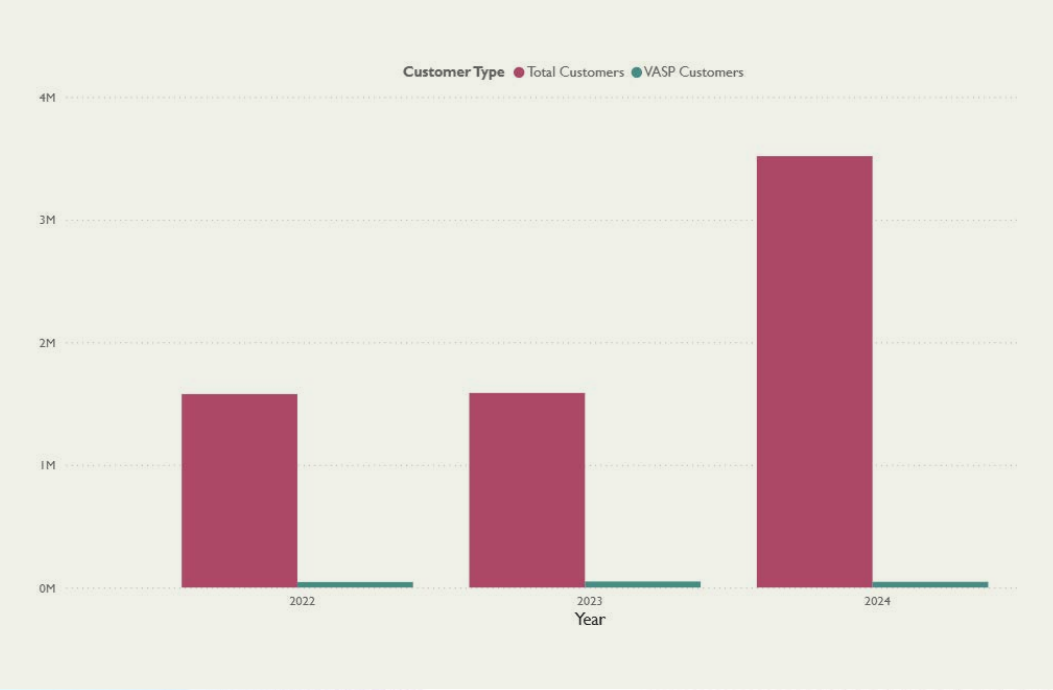
Figure 2 – Services Registered VASPs are Permitted to Offer

Virtual Asset Services Provided	By registered VASPs in 2024	By active VASPs in 2024
Custody and administration of VAs	5	1
Exchange of VAs for other VAs	6	1
Exchange of VAs for fiat	9	4
Providing investment advice on VAs	0	0
VA issuance	1	0
Marketing of newly issued VAs	3	0
Portfolio management of VAs	0	0
Receive or transmit orders for VAs	2	1
Services that enhance or promote	0	0
Node services and market making	1	0

Of the 19 firms currently registered, no VASP provides services that enhance or promote anonymity[4].

The number of customers serviced by VASPs has remained stable over the past 3 years. In 2024, registered VASPs serviced 46k customers, compared to 3.5m serviced by all FSA reporting sectors (**1.31%**).

Figure 3 – Number of Customer Services by Registered VASPs



Source: FSA

For context, the total number of customers serviced in 2024 showed a significant increase due to a large increase in a non-VASP sector. Removing this change shows the proportion of VASP customers is largely static. ›

Nature and Geographic Exposure of Customers

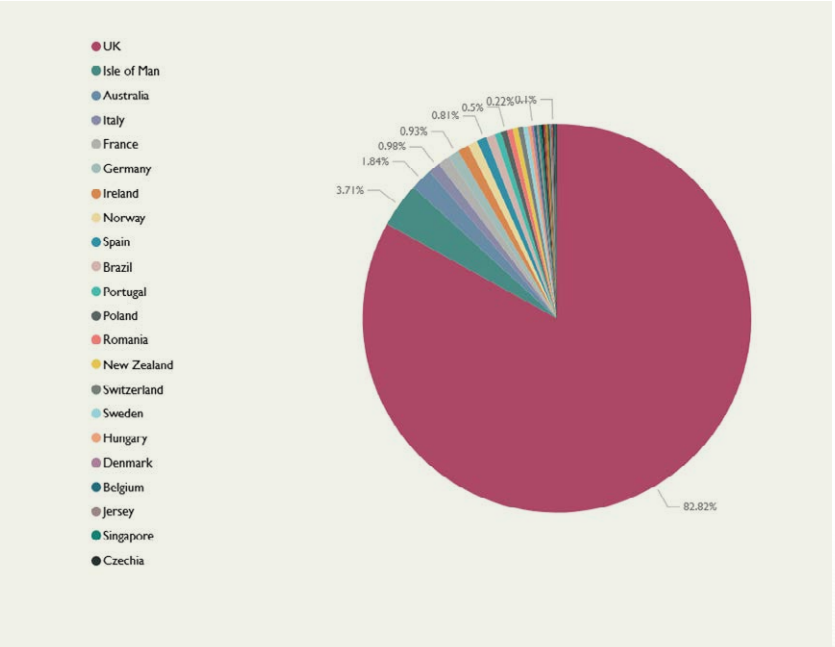
IOM registered VASPs' main market is the UK, which represents **83%** (38k) of customers reported in 2024. The remaining **17%** (8k) are split between several jurisdictions, with the top ten countries shown in **Figure 5** below.

The Department of Home Affairs maintains 4 specific country lists[5]. These lists assist entities to understand those jurisdictions which pose a higher risk of ML/TF/PF and apply these to relevant internal risk assessments. ›

Figure 4 – Percentage Split of Customers of VASPs by Top 10 Countries

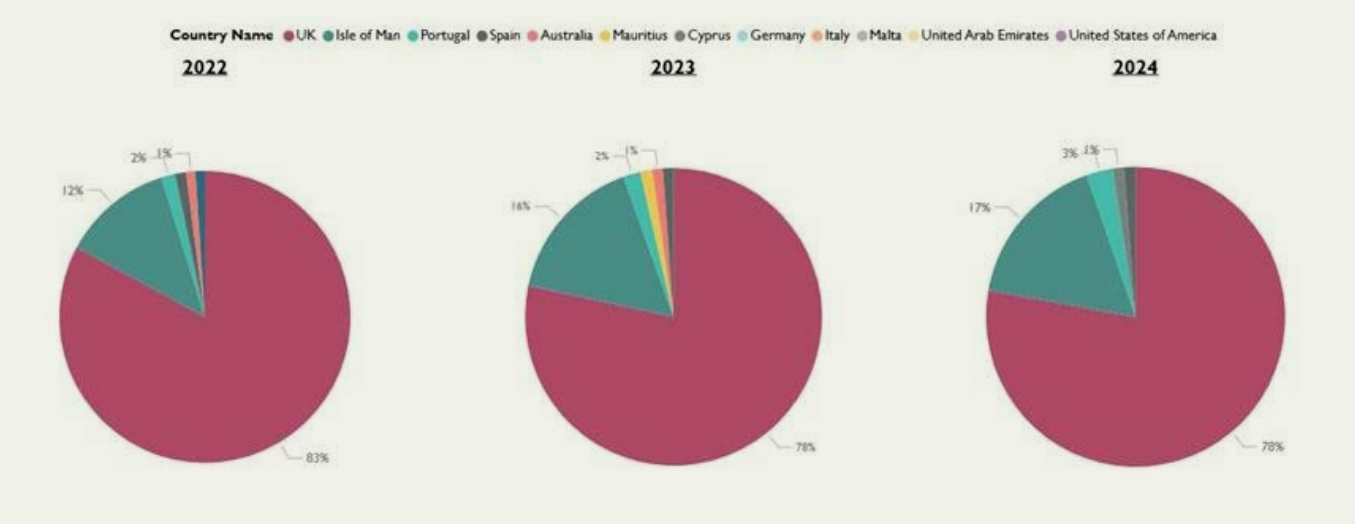
Jurisdiction	%
UK	82.82%
Isle of Man	3.71%
Australia	1.84%
Italy	0.98%
France	0.97%
Germany	0.93%
Ireland	0.93%
Norway	0.81%
Spain	0.81%
Brazil	0.74%

Figure 5 – Percentage Split of Total Customers of VASPs by Country



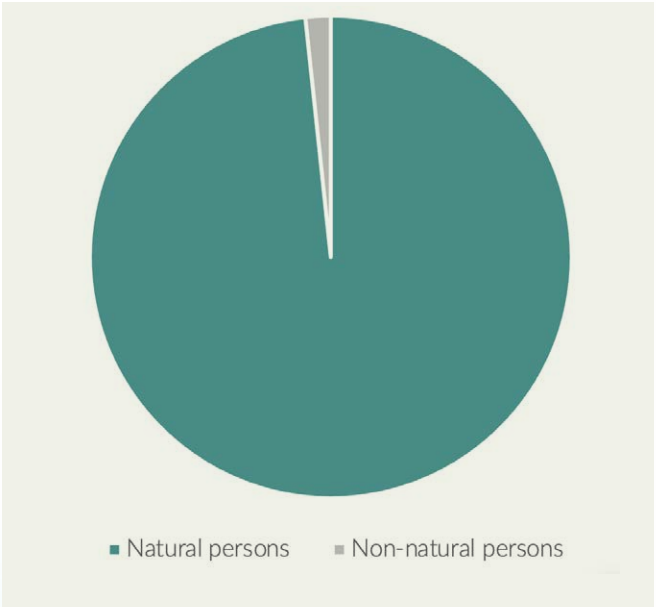
Source: FSA

Figure 6 – Percentage Split of UBOs Residency by Country – Top 5



The ultimate beneficial owners (UBOs) of VASPs' clients are predominantly UK residents, followed by residents in the IOM. This has been consistent over the past 3 years as shown in **Figure 6** above.

Figure 7 – Types of Customers of VASPs



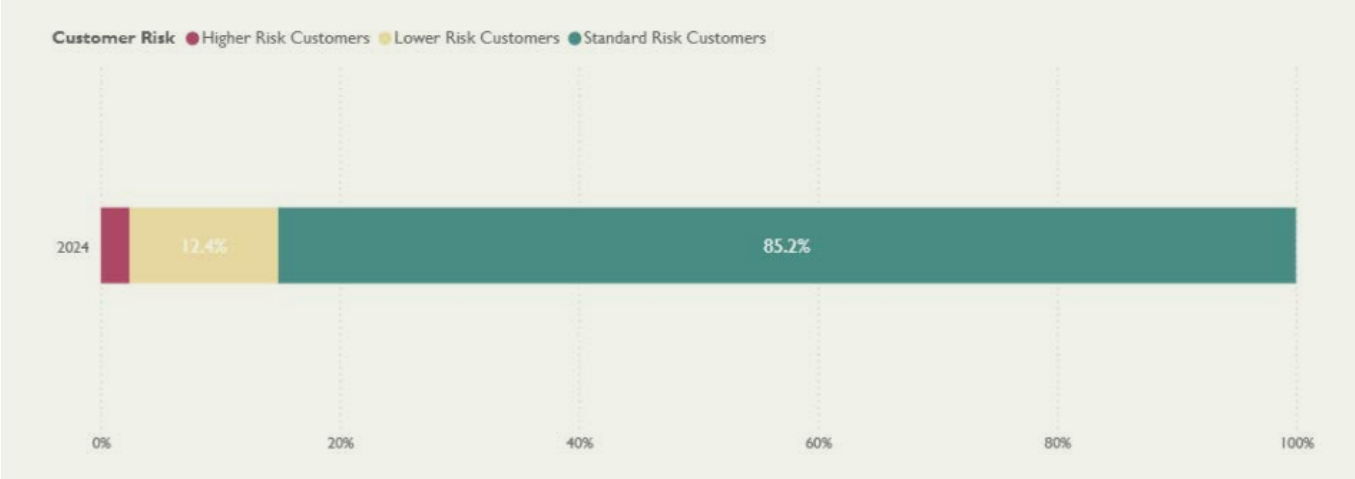
Source: FSA

From the 46k total number of customers reported in 2024, Approximately **98.31%** are natural persons, with under **2%** being non-natural persons therefore presenting a lower risk of domestic VASPs laundering the funds of seemingly complex structures.

From the 46k customers reported in 2024, approximately **85%** were rated by VASPs, according to their internal customer risk profiling methodologies, as standard risk customers, while **12%** were rated as low risk. Customers rated as high risk in 2024 accounted for around **2%** compared to **1.75%** in 2023 and **0.96%** in 2022. This can be attributed to the following:

- Increased knowledge in the sector in relation to responsibilities of their BRA and CRAs following Thematic feedback documents published by the FSA.
- Travel Rule Implementation - as firms responded to the requirements of the Travel Rule in relation to the identification of beneficiary and originating VASPs. This could lead to identification of higher risk customers. ›

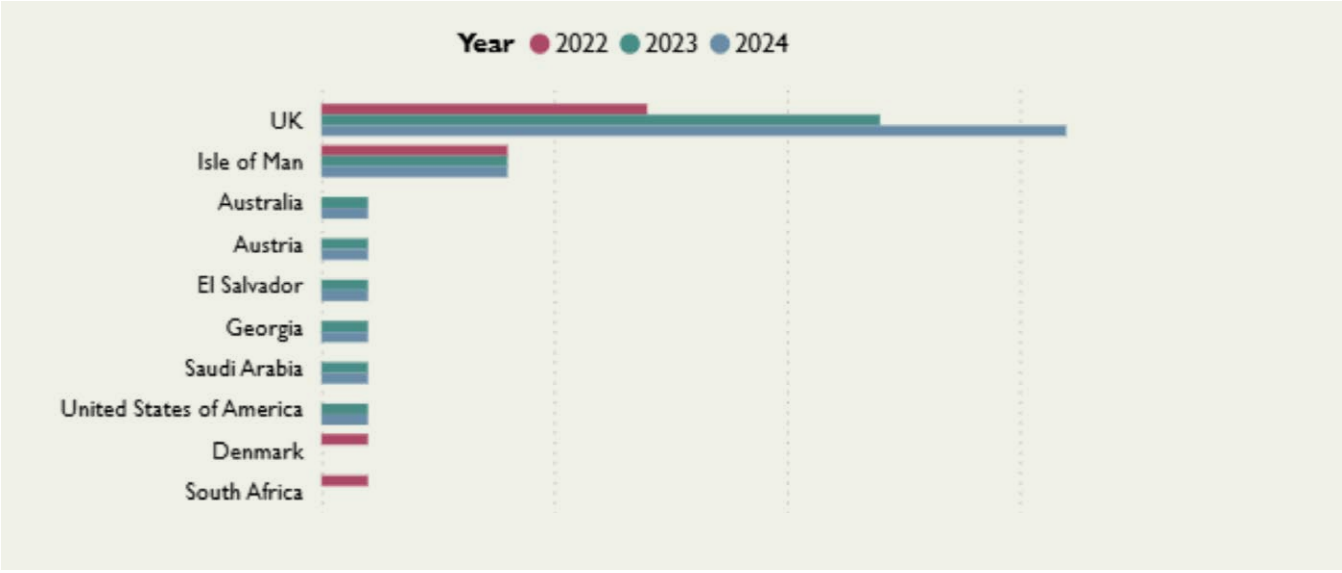
Figure 8 - Total Customer Risk Profile of the Sector



Source: FSA

Although there has been a slight increase in the number of Politically Exposed Persons (PEPs) by residency, serviced by VASPs, as of 2024, the number represented only **0.06%** of total customers, these customers are subject to enhanced due diligence and ongoing monitoring. **61.54%** of PEPs are resident in the UK and **15.38%** in the IOM, other countries of note are shown in **Figure 9** below.

Figure 9 – Residency of PEPs Services by VASPs



Source: FSA

As with most global VASPs, most onboarded customers (**99.54%**) are not met face-to-face. ›

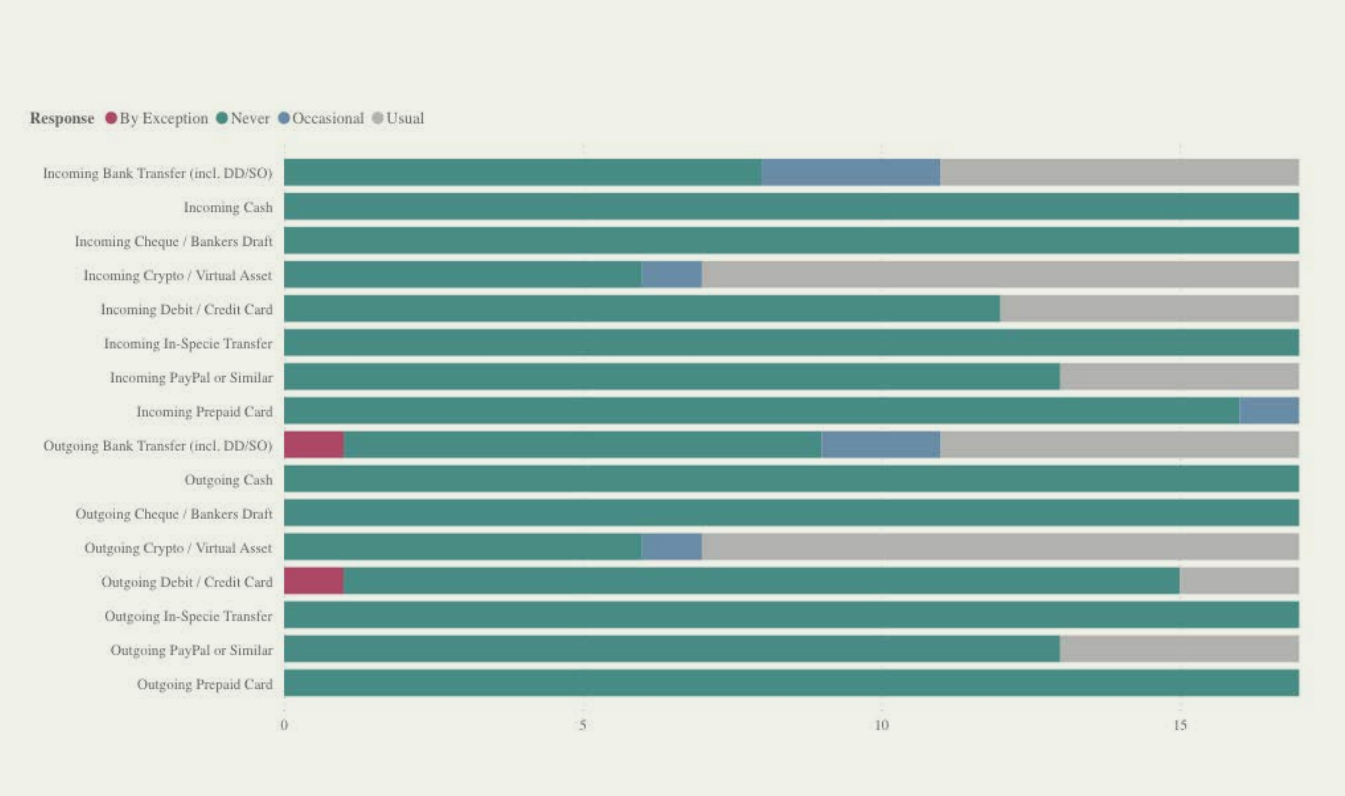
Nature of Geographic Exposure of Transactions

Incoming and outgoing transactions by the VASP sector are predominantly bank transfers, debit/credit cards, PayPal type services and VAs themselves.

During the period, the VASP sector has not reported carrying out any transactions in cash. In 2024, only one VASP reported to send/receive third party transfers.

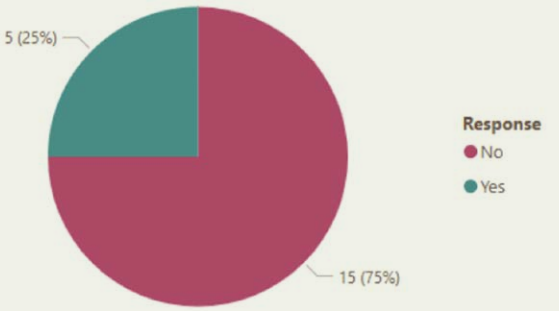
25% of the firms in the VASP sector either allow or intend to allow incoming and outgoing transactions to unhosted wallets. ›

Figure 10 – Payment Methods for Incoming and Outgoing Transactions in 2024



Source: FSA

Figure 11 – Percentage Split of Registered VASPs that Facilitate Transfers to and From Unhosted Wallets



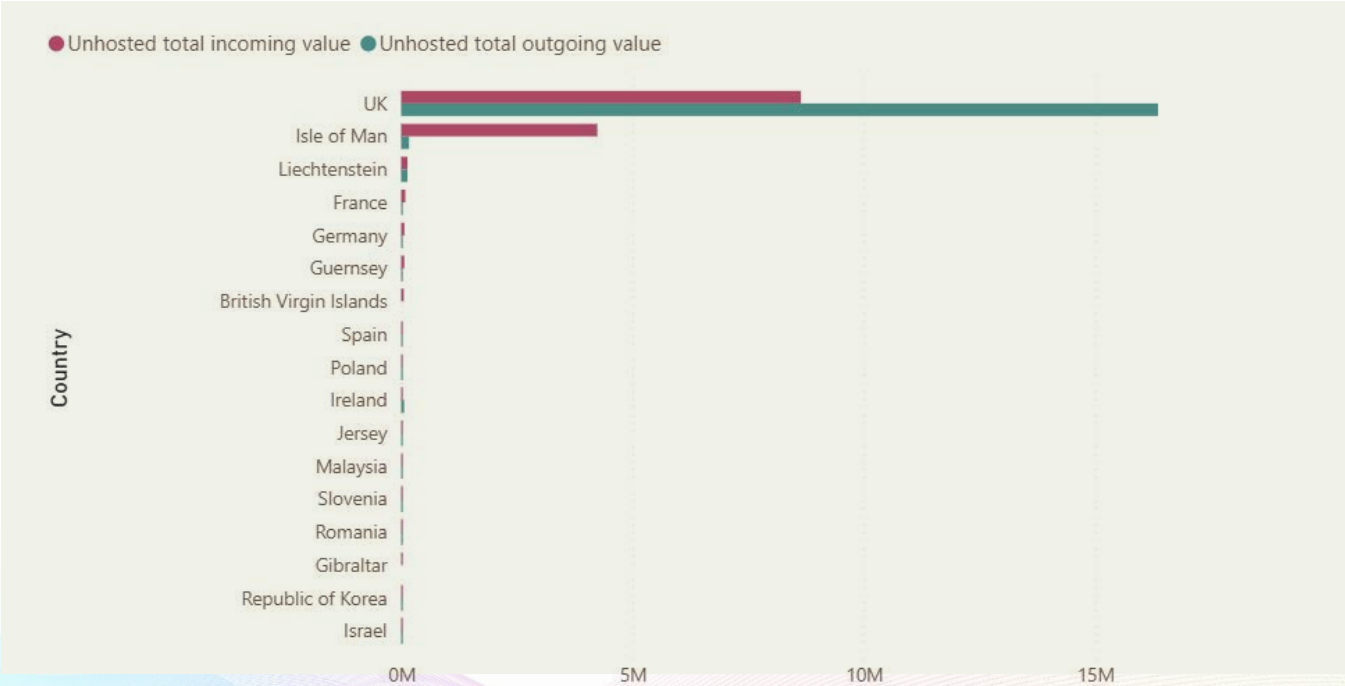
Response	Count
No	15
Yes	5
Total	**20**

Source: FSA

Most VA transactions (both incoming and outgoing) to unhosted wallets, are linked to customers identified as being residents in the UK or the IOM.

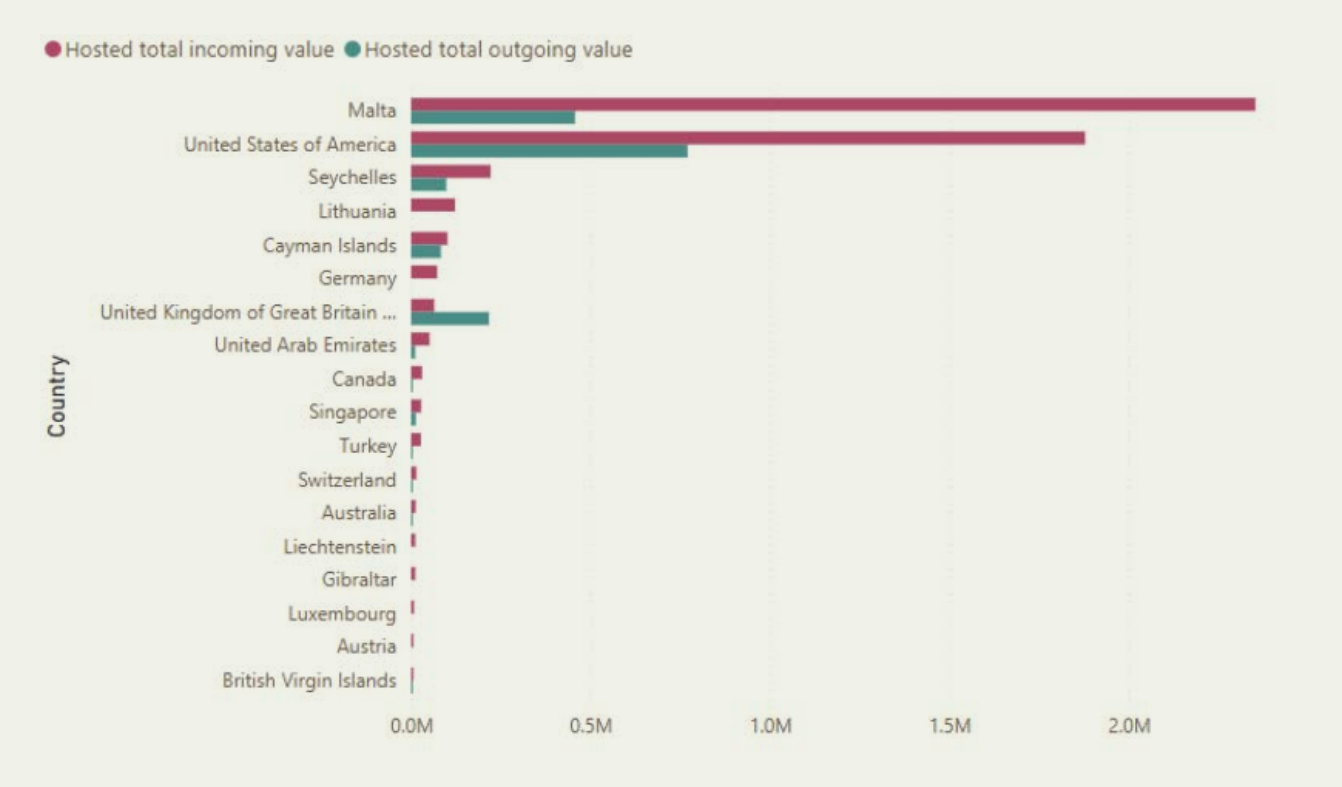
VA transactions to hosted wallets, although significantly less in value, are to VASPs operating in Malta and the US, followed by Seychelles, Lithuania, Cayman Islands, Germany and the UK, all of which require VASPs to be registered or licensed by the competent authority in the respective countries. ›

Figure 12 – Total Value of Incoming and Outgoing Transactions to Unhosted Wallets by Country



Source: FSA

Figure 13 – Total Value of Incoming and Outgoing Transactions to Hosted Wallets by Country



Transactions to and from unhosted wallets by customers of domestic registered VASPs are somewhat mitigated as the registered VASPs need to carry out due diligence on their customers and comply with the travel rule. However, the extent to which domestic customers are using unhosted wallets, and transaction with oVASPs on engaging in peer-to-peer transactions is currently unknown.

Most of the transaction flows (both incoming and outgoing) of VAs are to unhosted and hosted wallets linked to customers in List C (see **Figures 12** and **13**). Some transactions, both incoming and outgoing were identified to hosted wallets in the British Virgin Islands (BVI) and Turkey, two countries currently on List B (ii), and therefore identified as potentially posing a higher risk of ML and TF. These funds are negligible as illustrated in **Figures 12** and **13**.

While both jurisdictions apply AML/CFT requirements to VASPs and maintain registration or licensing frameworks, their most recent MERs indicate a continued strengthening of VASP supervision and an improving understanding of the risks associated with exposure to VAs and their domestic VASP sectors. Unhosted incoming and outgoing transactions have also been identified to unhosted wallets controlled by individuals or companies in BVI. No transactions have been identified to countries in List A, identified at a national level as high-risk jurisdictions. A small number of transactions, representing less than **1%** have been identified as being linked to unhosted wallets in Bulgaria, a country in List B(i). ›

Types of VAs Offered by the Domestic VASP Sector

The types of VAs being offered or made available via the VASP sector in the IOM are predominantly payment/exchange tokens and stablecoins.

All IOM registered firms in the VASP sector offer VA services involving Bitcoin (BTC), with one provider exclusively offering Bitcoin. Although less prevalent, other payment/exchange tokens offered by the sector include Ethereum (ETH), Solana (SOL), Tron (TRX), Litecoin (LTC), Ripple (XRP) and Dogecoin (DOGE), all in the top 20 by market capitalisation according to CoinMarketCap[6].

The stablecoins offered by VASP sector in the IOM include USDT, issued by Tether and USDC, issued by Circle. Both of these stablecoins are pegged one-to-one to the United States Dollar (USD). USDT and USDC are the two largest stablecoins by market capitalisation according to CoinMarketCap[7].

There is no evidence of non-fungible tokens (NFTs) being offered by active registered VASPs in the IOM. None of the registered VASPs provide privacy coins.

Exposure to VAs in Online Gaming and Gambling

The IOM's GSC is the regulatory authority responsible for betting offices and online and land-based casinos. Gaming companies and non-casino business-to-business services (such as software provision via a hosted platform) are subject to general and AML/CFT/CPF supervision under the Gambling AML/CFT Code 2019, while software provision on a non-hosted basis (such as selling/reselling game software) is subject to an elective licensing regime. Elective licence-holders are subject to licensing and AML/CFT/CPF requirements. Additionally, controls are also placed via conditions on licenses granted.

The IOM's Online Gambling (Registration and Accounts) Regulations 2008 were updated in 2016 to allow operators to accept deposits in money or money's worth, which may include VAs and virtual goods. This only applies to online gambling operators, as land-based operators are not permitted to accept or use VAs for gaming purposes. Online gambling operators are outward facing with international target markets, and do not provide services to domestic consumers.

Prior to integrating VAs in their service offering, operators must seek permission from the GSC. Out of 29 licensed operators, currently ten have permissions to offer certain activities involving VAs, in line with five identified "models", which are described below. All ten of these operators actively utilise this permission. Operators with an exposure to VAs are treated as **Medium High** to **High** risk for supervisory purposes. The model requires operators to use a third-party VASP to exchange the VAs to fiat prior to play. VASPs are required to be registered or licensed and subject to AML/CFT/CPF supervision in line with FATF requirements. ›

> "Operators with an exposure to VAs are treated as **Medium High** to **High** risk for supervisory purposes. The model requires operators to use a third party VASP to exchange the VAs to fiat prior to play."

All 10 operators with exposure to VAs are using Model 1 or 2 and therefore are relying on registered or regulated VASPs to exchange the VA to fiat, so the operator does not handle VAs directly.

To assist operators with their risk and control frameworks, the GSC has produced guidance which includes typologies and red flags in relation to VA exposure.

Based on the information held by the GSC, as at Q2 2025, the main type of VA that gaming operators were exposed to were stablecoins such as USDT, which accounted for **90%** of all transactions in VAs, and no exposure to privacy coins.

Figure 14 – Percentage of Gambling Operators with Exposure to VAs



Source: GSC

Figure 15 – Percentage Split by Type of VA Gaming Operators Exposed to

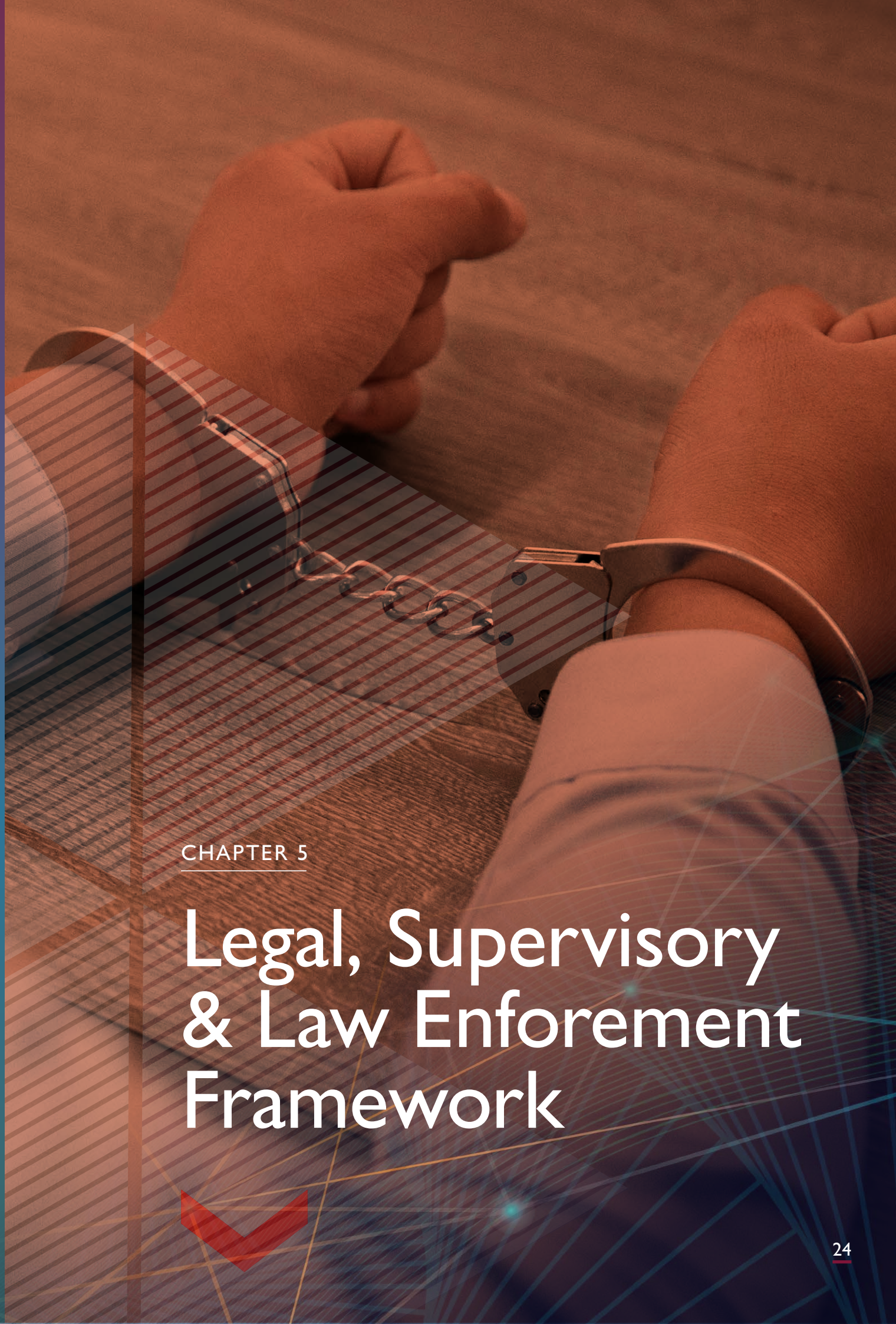
Type of VA	Percentage of overall VA type
USDT and USDC	90%
Bitcoin	5%
Others	5%
Privacy coins	0%

Interaction of VAs and VASP Sector with Other Regulated Sectors

The FSA is the Island's regulatory authority responsible for the supervision of FIs and DNFBPs. Financial Institutions are typically regulated for Prudential, Conduct of Business, and AML/CFT/CPF purposes, while Designated Businesses are subject to AML/CFT/CPF supervision, except for TCSPs, which are fully regulated as Financial Institutions.

To date, the exposure relating to VAs and VASP sector within the broader financial sector is minimum. As part of the AML/CFT returns submitted by regulated and registered firms, they are required to report any exposure to CEPs, which involves reporting of any clients that would typically have a higher risk of bribery and corruption, which may include VASPs. It is anticipated that exposure will grow as the industry matures in line with global trends. ■





CHAPTER 5

Legal, Supervisory & Law Enforement Framework

5. Legal, Supervisory & Law Enforcement Framework

There is a comprehensive legal, supervisory and enforcement framework for VASPs and all supervised firms with exposure to VAs in the IOM. This report also addresses the national entry controls, with further information on the authorisation and supervision of both VASPs and gaming operators with exposure to VAs, contained in Appendix I and II.

The Isle of Man's Designated Businesses (Registration and Oversight) Act 2015 was updated in October 2018 to include VASPs within its definition of Designated Businesses. As such, VASPs are considered DNFBPs and subject to registration requirements for AML/CFT/CPF supervisory purposes and must comply with the preventative measures included within the AML/CFT Code 2019.

The definition within the DBRO Act is fully in line with the FATF and defines VAs as a digital representation of value that can be digitally traded or transferred and can be used for payment or investment purposes. VAs do not include digital representations of fiat currencies, securities, and other financial assets. While VASPs are defined as any natural or legal person who by way of business conducts one or more of the following activities or operations for or on behalf of another natural or legal person –

a) Exchange between virtual assets and fiat currencies;

b) Exchange between one or more forms of virtual assets;

c) Transfer of virtual assets;

d) Safekeeping and/or administration of virtual assets or instruments enabling control over virtual assets; and

e) Participation in and provision of financial services related to an issuer's offer and/or sale of a virtual asset.

Generally, VASPs in the IOM have demonstrated to have robust controls to combat ML, TF and PF, with a clear understanding of the risks. Deficiencies in the controls identified by the FSA as part of its ongoing supervision of the sector have been addressed or improved, and this is evident by the residual risk scores assigned by the FSA. ›

"Generally, VASPs in the IOM have demonstrated to have robust controls to combat ML, TF and PF, with a clear understanding of the risks. Deficiencies in the controls identified by the FSA as part of its ongoing supervision of the sector have been addressed or improved, and this is evident by the residual risk scores assigned by the FSA."

The intelligence function of the Enforcement Division of the FSA is responsible for monitoring the perimeter to identify any unauthorised VASPs operating on Island. The size of the IOM makes it easier for the identification of any unauthorised activities. The FSA, through its Enforcement and Intelligence Division, will issue "What Are You Doing" (WAYD) letters to any firm or individual suspected of carrying out any unauthorised activities. These unauthorised activities are identified by scanning local media and offerings, as well as intelligence received from industry and other competent authorities. ■

Case Study – Unauthorised activity

Following knowledge and research undertaken by the FSA, information indicated that Organisation 'A' activities seem to centre around staking which could fall into the definition of a VASP. To clarify this and where their operations are taking place, a "What Are You Doing?" letter was sent to Organisation 'A'.

Organisation 'A' response outlined that all digital assets are owned by the company, and it has no clients or customers. They undertake activities for its own benefit only. To fall within the definition of a VASP, activities must be undertaken on behalf of another natural or legal person. This is not the case here given that Organisation 'A' only act for themselves.

The website was checked by a member of AML/CFT Division with expertise in VAs and confirmed that their explanation corroborates the website and there are no current concerns in relation to the DNFBP activities.



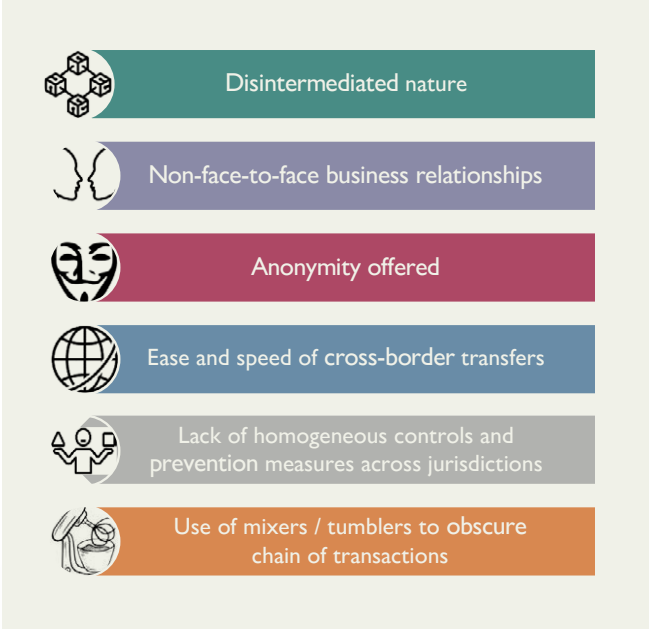


CHAPTER 6

Analysis of ML, PF and TF Threats and Vulnerabilites Relating to VAs and VASPs in the Isle of Man

6. Analysis of ML, PF and TF threats and Vulnerabilites Relating to VAs and VASPs in the Isle of Man

Some of the factors that make VAs attractive to be used to launder illicit funds, fund terrorism, or finance the proliferation of weapons of mass destruction, include the following:



DISINTERMEDIATED NATURE

VAs may be traded and transferred on a peer-to-peer basis without the involvement of an intermediary. Intermediaries traditionally apply certain AML/CFT/CPF controls before funds are made available to other parties. This means that VAs can be used in a similar fashion to cash, the main difference being that they may be transferred across borders almost instantaneously.

NON-FACE-TO-FACE BUSINESS RELATIONSHIPS

Intermediaries offering services involving VAs operate mostly online and do not interact with their users on a face-to-face basis at any point throughout the business relationship. This increases the risk of impersonation and fraud.

ANONYMITY OFFERED

Although the technology underpinning VAs offers a high level of transaction transparency, the wallet addresses used to send and receive VAs are not intrinsically tied to real-world identities. Additionally, privacy tools and features are available, which obfuscate a VA transaction history and ownership, including:

- Privacy coins
- Mixers and tumblers
- IP anonymisers
- Chain hopping ›

EASE AND SPEED OF CROSS-BORDER TRANSACTIONS

VA transfers can be effected almost instantaneously, with no limits on their geographical reach. This makes VA transfers attractive to criminals wishing to disperse the proceeds of crime fast and wide.

LACK OF HOMOGENEOUS CONTROLS AND PREVENTION MEASURES ACROSS JURISDICTIONS

With countries taking differing approaches to the authorisation and supervision of VAs and services involving these types of assets, the fragmentation created has allowed criminals to exploit service providers and jurisdictions with no or weak AML/CFT/CPF regimes. It has also meant that criminals have been able to open accounts with several VASPs with poor controls to disperse VAs across jurisdictions, making it challenging for regulators and law enforcement to freeze/seize funds.

Additional vulnerabilities relating to VAs and the VASP sector can include the fact that VA exchange services (particularly OTC/broker models used in IOM) carry **Medium High** intrinsic vulnerabilities due to potential to be used for placement/layering. ■



> VA transfers can be effected almost instantaneously, with no limits on their geographical reach. This makes VA transfers attractive to criminals wishing to disperse the proceeds of crime fast and wide."





CHAPTER 7

ML/TF/PF Threats

7. ML/TF/PF Threats

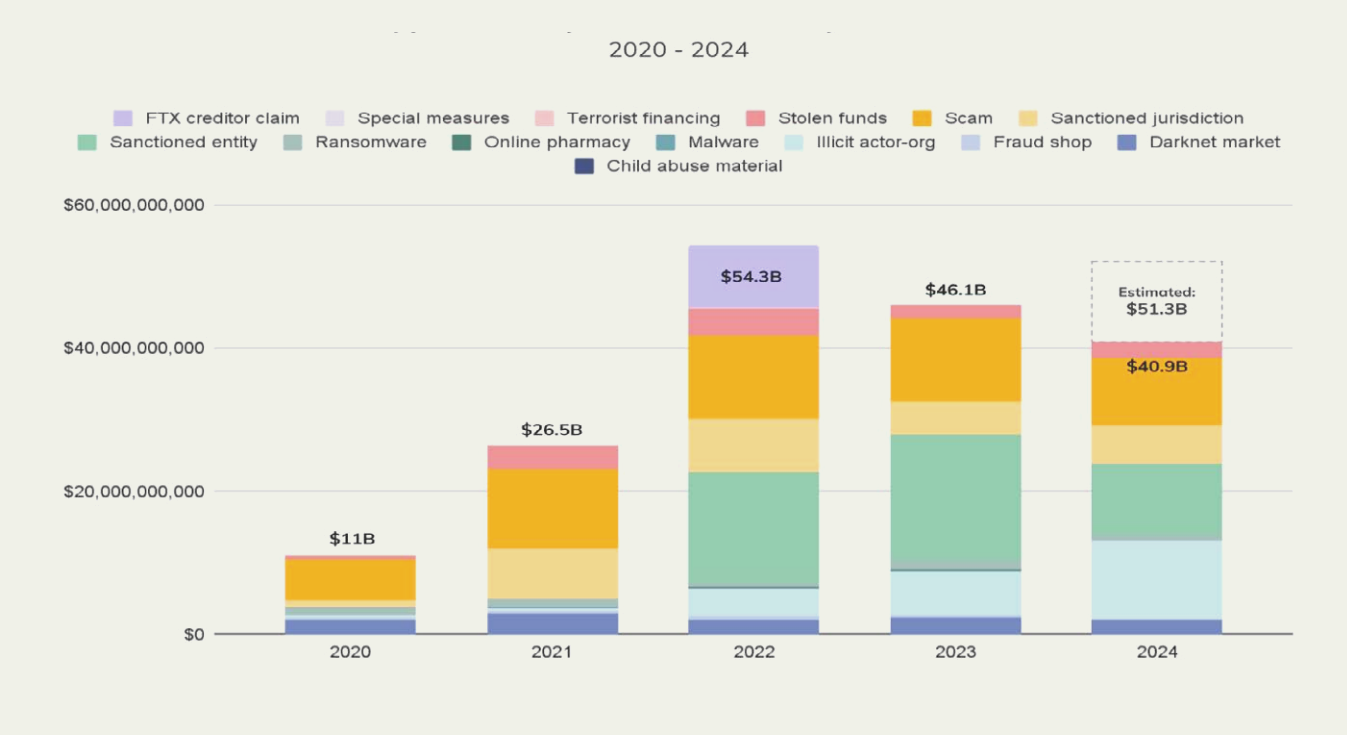
In the context of ML, TF and PF, threats refer to the activities, actors, or predicate offences that have the potential to generate illicit proceeds or otherwise contribute to ML/TF/PF. While ML threats include predicate offences that generate illicit proceeds, in the case of TF and PF, threats may involve both legitimate and illicit funds which are misused for illicit purposes.

OVERVIEW

The use and adoption of VAs have been on the rise since 2009 when the Bitcoin white paper was first published. More recently, with increasing institutional use-cases and adoption, the upward trend continues. The number and market capitalisation of VAs as of 1 October 2025 is 22,000,000 and $4.02 trillion[8], compared to 15,000 and $2.7 trillion only two and a half years ago in April 2022.

As for nefarious activities involving VAs, Chainalysis, a leading blockchain analytics provider, reported[9] that in 2024 $40.9bn were received by identified illicit wallet addresses but estimate that this number may be closer to $51bn, which is **0.14%** of total on-chain transaction volume. ›

Figure 16 – Total Cryptocurrency Value by Ilicit Addresses



Source: Public source

Core threats involving VAs and VASP sector

ONLINE/CYBER FRAUD

Romance scams

Also known as *pig butchering*, these scams typically unfold over a long period of time during which perpetrators earn victims' trust, often via a fictitious romantic or personal relationship. Once trust is established, victims are persuaded to make continued financial transfers or investments, frequently in VAs; Europol reported in 2024 that cryptocurrencies continue to be the most reported product offered to victims in investment fraud[10]. The "legitimately" acquired VAs are then converted to fiat or used to purchase goods and services where VAs are accepted as payment, effectively laundering the proceeds of fraud.

Rug pulls / pump and dump schemes

Rug pulls and pump and dump schemes are scams in which fraudsters issue a VA or promote a project to attract public investment, often through misleading marketing or social media hype. After sufficient funds are raised, perpetrators abruptly withdraw liquidity or abandon the project, disappearing with the proceeds, leaving investors with VAs that are effectively worthless. The illicit gains are often laundered by dispersing the VAs or by using mixing services to obscure their origin.

Cyber-attacks on VASPs

Due to the VA industry's heavy reliance on information technology infrastructure, perpetrators have increasingly exploited cybersecurity vulnerabilities to launch ransomware attacks on VASPs, or to steal VAs held in online wallets.

Illicit online gambling

Illegal proceeds may be laundered through unlicensed gambling platforms, which have a transnational reach. According to the United Nations Office on Drugs and Crime[11], illegal online gambling platforms may be exploited by criminals seeking to launder proceeds in VAs. In-game tokens may be acquired using VAs, which can then be converted to fiat and cashed out in a different jurisdiction or used to place bets. These are placed with associates, colluding so that one associate deliberately loses so the other may cash out the winnings.

Payment for illicit products/services

VAs have historically been used as payment for illicit products and services, predominantly drugs, using dark web marketplaces. Europol has reported that the predominant crimes involving VAs are not necessarily those that use VAs to launder funds, rather, these are crimes that generate profits in VAs. This means that legitimately obtained VAs may be used to purchase or obtain illicit goods and services. Criminals who receive payment in VAs then seek to convert their illicit proceeds from VAs into fiat currency, at which point the money laundering offence occurs.

Bribery and Corruption

VAs may be used to launder the proceeds of bribes or as bribes themselves. Individuals receiving these types of payments can easily convert them into VAs or may receive VAs which they can then seek to disperse and integrate into their personal financial position.

In addition to the threats identified above, Europol reported in 2024 the increased use of underground banking and other criminal outlets to launder the proceeds of crime, as well as the re-emergence of cryptocurrency debit cards, which may be used to convert VAs to fiat via VA ATMs. ›

"Europol has reported that the predominant crimes involving VAs are not necessarily those that use VAs to launder funds, rather, these are crimes that generate profits in VAs. This means that legitimately obtained VAs may be used to purchase or obtain illicit goods and services."

ML Threat - VA exposure and IOM VASP Sector

The overall ML threat associated with the Isle of Man's exposure to virtual assets (VAs) and the domestic VASP sector is assessed as **Medium High**. The incoming ML threat, relating to criminal proceeds involving VAs or overseas-registered VASPs that are laundered domestically is assessed as High. The outgoing ML threat relating to criminal proceeds generated in the Isle of Man and transferred abroad to be laundered through VAs or overseas VASPs is assessed as **Medium Low.**

Overall, the ML threat in the Isle of Man arises from individuals or entities seeking to misuse service providers, including VASPs, to launder the proceeds of crime.

International ML Threats

As an IFC, the main threat comes from predicate offences that typically occur overseas, with persons/entities looking to exploit the inherent vulnerabilities pertaining to VAs and any vulnerabilities in the services offered by the VASP sector in the IOM.

The IOM's broad range of financial services, like those of other IFCs, may be exposed to misuse by individuals seeking to conceal the proceeds of crime, due to the international and often non-face-to-face nature of its business, along with the complexity and speed of transactions and availability of specialised professional services.
The ease and speed at which cross-border transactions can be effected using VAs, the disintermediated nature, potential for enhanced anonymity and ability to obscure transactions, and inconsistencies in the state of global regulatory frameworks, present criminals with an opportunity to accept or use VAs as payment for illegal goods and services, move the proceeds of crime quickly across borders, and use VASPs in the IOM to convert VAs to fiat, and integrate the proceeds of crime into the traditional financial sector.

Most of the transaction flows (both incoming and outgoing) of VAs are to unhosted and hosted wallets linked to customers in List C (see **Figures 12** and **13** *on pages 19 and 20*). Some transactions, both incoming and outgoing were identified to hosted wallets in BVI and Turkey, two countries currently on List B (ii), and therefore identified as potentially posing a higher risk of ML and TF.

While both jurisdictions apply AML/CFT requirements to VASPs and maintain registration or licensing frameworks, their most recent MERs indicate a continued strengthening of VASP supervision and an improving understanding of the risks associated with exposure to VAs and their domestic VASP sectors. Unhosted incoming and outgoing transactions have also been identified to unhosted wallets controlled by individuals or companies in BVI. No transactions have been identified to countries in List A, identified at a national level as high-risk jurisdictions. A small number of transactions, representing less than **1%** have been identified as being linked to unhosted wallets in Bulgaria, a country in List B (i), representing countries that may pose a higher risk of ML, TF or PF. ›

"The IOM's broad range of financial services, like those of other IFCs, may be exposed to misuse by individuals seeking to conceal the proceeds of crime, due to the international and often non-face-to-face nature of its business."

Organised immigration crime (including human trafficking) and transnational organised crime centred on sophisticated large-scale, cyber-enabled fraud and integration of funds associated with online gambling, predominantly Southeast Asian facing, are providing new challenges. There's a documented growing global trend identified in several international reports, including a report by the United Nations Office on Drugs and Crime (UNODC) in April 2025, which highlights actions taken in the IOM targeting an online gaming company in connection with a fraud and money laundering investigation. Globally, online gaming and gambling operators are increasingly being used to launder the proceeds of crime using VAs. The availability of international financial services, tax structuring, and company and trust formation in the IOM can be attractive to individuals and businesses seeking to evade taxes in their own jurisdictions. The IOM has a comprehensive framework of international agreements that provide for greater tax transparency through the exchange of information. However, from 545 requests for information received between 2010 to Q1 2025, none related to activities involving VAs. To date, there have been no domestic tax evasion cases involving VAs.

Globally, online gaming and gambling operators are increasingly being used to launder the proceeds of crime using VAs. The availability of international financial services, tax structuring, and company and trust formation in the IOM can be attractive to individuals and businesses seeking to evade taxes in their own jurisdictions."

The Income Tax Division in the IOM is currently working on its Income Tax (Crypto-Asset Reporting) Regulations 2025, which are made under s104D of the Income Tax Act 1970, to comply with the OECD's Crypto-Asset Reporting Framework (CARF). The IOM is a signatory to the multilateral competent authority agreement on automatic exchange of information pursuant to CARF and is committed to comply with the requirements as from January 2026. The introduction of the CARF will likely increase the identification of tax evasion use cases relating to VAs in the future. ›



Domestic ML Threats

The main domestic threat relates to drug trafficking and supply from the UK. The use of IOM banknotes paid into third-party accounts and subsequently transferred to the UK remains the most common laundering method. There are no VA ATMs in operation in the IOM and no registered VASP provide services relating to cash. VAs provide an alternative way for criminals to be paid for illicit goods, however, at present, there is no clear evidence of a significant threat to the IOM from this activity. The increase in the volume of drugs being smuggled into the IOM from the UK by OCGs is reflective of the higher street prices available, the value of which needs to be realised. VAs can provide an alternative to cash and traditional financial services for OCGs to move the proceeds of crime and integrate them into the traditional financial system. Although there is evidence of OCGs increasingly purchasing high-value goods with the illicit funds in the IOM, VAs are not widely accepted in the IOM for goods and services and there is no evidence of VAs being exploited in this way. There is however evidence of criminal proceeds in VAs being converted to fiat, which is then being used to purchase high value goods on Island.[12]

TF Threats

Some of the common global threats identified in relation to TF include:

- Social media and crowdfunding platforms to obtain donations: Online fundraising campaigns often under the guise of humanitarian or political causes have been increasingly used by terrorist groups to fund their activities.

- Use of decentralised platforms and other unregulated service providers:
  Peer-to-peer exchanges, unregistered VASPs or VASPs in jurisdictions with weak frameworks, and decentralised platforms can be exploited to maintain anonymity and obscure the provenance and destination of funds.

The overall TF threat relating to VAs and VASPs in the IOM has been assessed as being **Very Low**. The incoming TF threat, which relates to threats relating to terrorist funds generated overseas and then enter the IOM to be used for terrorist activities is **Low**. The outgoing TF threat, which relates to terrorist funds generated in the IOM and transferred abroad to fund terrorist activities using VAs or VASPs, has been scored as **Very Low**.

The IOM recently participated in the Monaco (MONEYVAL) Small States guidance to assist IFCs identify, assess and understand the risk of TF.

As an IFC, the main TF threat to the IOM is likely to arise from the use as a transit jurisdiction for the movement of funds linked to terrorist activities taking place in other jurisdiction, or the ›

> VAs provide an alternative way for criminals to be paid for illicit goods, however, at present, there is no clear evidence of a significant threat to the IOM from this activity."

management of foreign funds or relating to businesses linked to such activity. Assessing TF threats requires consideration of each of the recognised stages; the collection, movement and use of funds.

From a geographical perspective, the Island is situated between the UK and the Republic of Ireland and is away from globally recognised conflict zones and higher-risk jurisdictions. The IOM has never experienced a domestic terrorist attack. No terrorist groups or cells are believed to be active or present on Island.

The more likely exposure to TF for IFCs, including the IOM, arises from their high levels of cross-border business, particularly complex transactions, and the international activities of their charities and other non-profit organisations (collectively, NPOs), with the attendant possibility of the services and products offered by IFCs or assets raised and/or disbursed by their NPOs being used by parties outside the jurisdiction to fund terrorism abroad. Given VAs ease and speed at which funds can be transferred cross-border, and potential for increased anonymity, terrorist groups are increasing looking to exploit vulnerabilities in VAs.

The IOM's FIU issues Threat Alert Notices in relation to ML/TF/PF emerging threats, which aim to highlight emerging risks to assist in the identification and reporting of suspicious activity relating to ML/TF/PF. In October 2023, the FIU in collaboration with the Isle of Man Financial Crime Partnership issued a Threat Alert Notice relevant to TF.

The alert highlighted the increased risk of TF due to the escalation of conflict globally, and the use of NPOs to fund terrorist activities. The alert warned of the increasing use of VAs by certain terrorist organisations, exploiting vulnerabilities around anonymity, decentralised exchanges, privacy coins, using ICO to raise funds, IP anonymisers, abuse of smart contract and cybercrimes.

Terrorist groups seek to exploit vulnerabilities in VASPs operating in jurisdictions with no or weak controls. VAs have also been exploited by terrorist groups to avoid sanctions. The VASP sector in the IOM complies with robust AML/CFT/CPF standards, acting as a deterrent. As part of the controls, firms in the VASP sector need to carry out sanctions checks and comply with the Travel Rule, which would help identity beneficiaries, and potential links to terrorist groups, including beneficiaries of transactions in VAs to unhosted wallets.

As evident from **Figures 6** and **9** *(see pages 16 and 17)*, VASPs' clients that are UBOs and PEPs are resident in countries deemed to have equivalent AML/CFT/CPF measures to the IOM. No UBOs or PEPs have been identified to reside in countries that pose an increased risk of TF. Likewise, no incoming or outgoing transactions involving VAs via the IOM VASP sector firms have been identified as originating from or being sent to individuals residing in countries deemed to pose an increased risk of TF (see **Figures 12** and **13** *on pages 19 and 20*). Crowdfunding and ICOs ›



have been exploited by terrorist groups looking to raise funds. In the IOM, any organisation looking to do an ICO would need to register with the FSA and comply with the Island's AML/CFT/CPF rules and regulations. There are no firms offering ICOs or Crowdfunding services registered in the Isle of Man.

The extent to which oVASPs with weak or no controls are present in the IOM or the extent to which domestic consumers are engaging with decentralised exchanges or peer-to-peer transactions, thereby evading controls, and exposing the IOM to TF is currently unknown.

"The extent to which oVASPs with weak or no controls are present in the IOM or the extent to which domestic consumers are engaging with decentralised exchanges or peer to peer transactions, thereby evading controls, and exposing the IOM to TF is currently unknown."

PF Threats

Some of the general threats identified to date include the following:

- **DPRK ransomware attacks and sanctions evasion**
  RUSI's guidance paper states that according to FBI Information, since at least 2014, North Korea has shown increasing cybercrime expertise and interest, more recently expanding into VAs. Yet, while most North Korean VA activity involves large-scale hacks, the regime has also shown interest in ransomware attacks and VA mining. RUSI also published a paper considering the challenges to address and mitigate risks associated with cryptocurrency mining.[13]

Furthermore, the latest report of the UN Panel of Experts assisting the North Korea Sanctions Committee noted that North Korea continued to engage in cyberattacks on VASPs, stealing assets valued at around $3 billion between 2017 and 2023.

MINING ACTIVITIES

Similarly, Iran has reportedly commenced using VA mining to evade sanctions and export oil, with a huge share of global VA mining taking place in the country. With global compliance and regulation lacking in many jurisdictions, VASP can present an easy target for these actors.

The overall PF threat relating to VA and the VASP sector in the IOM has been assessed as being **Very Low**.

According to the RUSI Guidance Paper 2021[14], VAs have increasingly become a vehicle through which proliferation-related funds are raised and moved.

While significant regulatory and compliance progress has been made for activities associated with VAs and VASPs, RUSI notes that there is still differing levels of understanding globally, and inconsistency in the application of regulation which criminals are taking advantage of.

RUSI proposes a practical distinction for the purpose of distinguishing between different types of financing threats: 'direct' and 'indirect': ›

- Direct refers to the 'actual or attempted financing of proliferation-sensitive goods and technologies. For instance, Iranian procurement efforts seeking to source high-end pressure sensors for its uranium enrichment programme.

- Indirect refers to activities 'that could substantively contribute to a state or non-state actor's WMD programme'. The most common form is revenue-raising activity: the DPRK's use of cyber-attacks/ransomware and operation of restaurants in China are two such examples.

The IOM recently participated in the Monaco (MONEYVAL) Small States guidance to assist IFCs identify, assess and understand the risk of PF.

Key PF threats for IFCs stem from their potential role in facilitating financial flows, managing foreign assets, or enabling the trade and shipment of dual-use goods; items with both civilian and military applications. These risks are further compounded by cyber-enabled threats, such as ransomware attacks and the hacking of VASPs.

The IOM's exposure to proliferators seeking to use VAs to purchase goods or technologies that can contribute to the development and manufacture of nuclear, biological and chemical weapons (or their means of delivery), is minimum, due to a very limited manufacturing base on the Island, with very limited quantities and types of goods produced that may considered dual use.

From a geographical perspective, the Island is situated between the UK and the Republic of Ireland and is away from globally recognised PF higher-risk jurisdictions.

Due to VASPs heavy reliance on information technology infrastructure, perpetrators have increasingly exploited cybersecurity vulnerabilities to launch ransomware attacks on VASPs, or to steal VAs held in online wallets. However, from the SARs reported to the FIU, there is no evidence of any hacks on VASPs registered in the IOM.

There is no evidence of large-scale mining operations being conducted out of the IOM to fund the proliferation of weapons of mass destruction.

As evident from **Figures 6** and **9** *(see pages 16 and 17)*, the VASP sector in the IOM do not have any client UBOs or PEPs from countries known to pose a high risk of PF. The VASP sector' clients are predominantly individuals, therefore reducing the risks of proliferators exploiting vulnerabilities in complex or front companies (see **Figure 7**).

As an IFC, the IOM may still be exposed to financial flows relating to PF. However, as can be seen from **Figures 12** and **13** *(see pages 19 and 20)* , most direct transactions being facilitated by registered VASPs to or from wallets (hosted or unhosted) are known to be controlled by VASPs established, or individuals resident, in countries in Country List C[15], which are deemed to pose a low risk of PF. A small number of transactions were identified linked to hosted wallets controlled by VASPs in Turkey, which is mentioned in the USA PF Risk Assessment, UK Government notices and OFSI red alert notices as a key transit hub for Russia. Turkey recently introduced legislation bringing VASPs under their Capital Markets Law.

Locally registered VASPs need to apply AML/CFT/CPF controls, including compliance with the Travel Rule. This includes carrying out sanctions checks, all of which helps mitigate the threat of PF in the IOM.

However, the extent to which oVASPs with weak or no controls are present in the IOM or the extent to which domestic consumers are engaging with decentralised exchanges or peer to peer transactions, thereby evading controls, is currently unknown. ›

"Due to VASPs heavy reliance on information technology infrastructure, perpetrators have increasingly exploited cybersecurity vulnerabilities to launch ransomware attacks on VASPs."

Law Enforcement and Suspicious Activity Reports

LAW ENFORCEMENT - ML

There has been an increase in the number of active international ML cases under investigation; 10 during 2024–25. The PIMLIT, supported by the wider IOM Constabulary (IOMC), has conducted three major multi-agency operations this year, with assistance from other IOM agencies. The cases are complex, with multi-jurisdictional structuring (including shell companies) and a range of financial products used to hide criminal proceeds. There has been a notable increase in the use of VAs, in particular USDT (stablecoin), to move illicit funds as part of the laundering process.

LAW ENFORCEMENT – TF/PF

To date, there have been no prosecutions or convictions in the IOM relating to terrorism involving VAs or any other sector. There has been only one Suspicious Activity Report (SAR) reported by the VASP sector in the past 4 years that has been linked to suspected TF.

There are currently no investigations and there have been no SARs reported to the FIU, where PF activities have been suspected related to VAs or otherwise.

SUSPICIOUS ACTIVITY REPORTS

In 2025, SARs submitted under POCA to the Isle of Man FIU by the VASP sector accounted for **7.91%** (80 reports). These mostly relate to SARs with low value transactions which are generated by the reporting entity using specialist software that can trace transactions linked to suspicious or unusual websites or the dark web within a specified number of hops. Most of the SARs received by the IOM's FIU from the domestic VASP sector have links to the UK which is in line with the customer bases and expectations given the risk profile.

Fraud is the most dominant predicate offence observed in SARs submitted by the domestic VASP sector and have UK nexus of offending followed by other international jurisdictions not on lists B(i) and B(ii). A small Forgery and Cybercrime occur almost exclusively in cross-border contexts and illicit Trafficking is minimal overall. ›

Figure 17 – VA and domestic VASPs suspected criminality country data

Year	Solely Domestic Suspected Predicate Offending	UK Suspected Predicate Offending	List B(i) & B(ii) Country Suspected Predicate Offending	Other Country Suspected Predicate Offending
2020	11	248	2	73
2021	1	122	2	37
2022	0	13	0	6
2023	0	1	0	0
2024	0	3	0	2
Total	**12**	**387**	**4**	**118**

Source:: FIU

Figure 18 – Mentions of various VAs across all SARs including VASP SARs[16]

Year	Bitcoin	Ethereum	USDT	XRP	Solana	Dogecoin	TRX	Monero	Total
2020	397	5	0	5	1	0	4	1	413
2021	146	15	3	7	3	1	0	1	176
2022	230	13	46	6	6	1	5	0	307
2023	178	16	37	11	9	5	8	3	267
2024	146	14	30	6	3	2	51	0	252
Total	**1097**	**63**	**116**	**35**	**22**	**9**	**68**	**5**	**1415**

Source:: FIU

A keyword search was performed across the SARs dataset and this indicated that references to virtual assets are concentrated around a small number of commonly used tokens. In particular, Bitcoin and USDT (Tether) appear most frequently, demonstrating that these assets are the predominant virtual assets mentioned by reporting entities. This pattern highlights their continued relevance within detected suspicious activity and reinforces the need for focused monitoring and sector engagement relating to these specific virtual assets.

Figure 20 – FIU's requests for information from VASPs

Year	2020	2021	2022	2023	2024	Total
Requests Made	0	1	1	6	1	9

Since 2020, the IOM's FIU has made 9 requests to domestic VASPs. During the same period, total of 8 Incoming Mutual Legal Assistance were submitted in relation to VASPs.

FIU Typologies can be found in **Appendix III.** ■



CHAPTER 8

Inherant Vulnerabilities

8. Inherent Vulnerabilities

The overall national vulnerability in the IOM to VAs and the domestic VASP sector has been assessed as Medium.

The assessment takes into account the inherent vulnerabilities of the VAs prevalent in the IOM, the VA services offered by domestic VASPs, the size of the sector, client base, and the effectiveness of both the controls at national level, and those imposed by VASPs, the online gaming and gambling operators and other sectors exposed to VAs.

Below is a summary of the overall inherent vulnerabilities, inherent and residual risk scores. ›

Category	Risk Score
General national inherent vulnerabilities	Medium
Inherent vulnerability - Local	Medium Low
Inherent vulnerability - Foreign	Medium High
Inherent Risk - ML	Medium High
Inherent Risk - TF	Low
Inherent Risk - PF	Low
Mitigation Measures	Medium High
Residual Risk - ML	Medium
Residual Risk - TF	Very Low
Residual Risk - PF	Very Low

Inherent vulnerabilities in VAs

The table below assesses the inherent vulnerabilities of different categories of VAs and presents the overall risk score for the Isle of Man, taking into account threats, vulnerabilities, and mitigating measures in line with the WB methodology.

VA category	Description	Characteristics	IOM vulnerability[17]
Payment/ exchange-type tokens.	Pseudo-anonymous Examples: • Bitcoin	Although transactions using pseudo-anonymous VAs are linked to a wallet address, the identity of the individual controlling the address is unknown. The transparency offered by the underlying technology means that, as long as additional anonymisation techniques are not employed, a full audit trail of VA movements will remain available.	**Medium Low**
	Anonymous Examples: • Monero	Anonymous VAs are known as privacy coins. These types of VAs have inbuilt anonymity features that prevent third parties from linking a wallet address to an individual, making these types of VAs more attractive to be used for ML/TF/PF purposes. Privacy features may be disabled for certain anonymous VAs, allowing full visibility of the transaction history.	**Very Low**
	Stablecoins (asset or fiat backed) Examples: • Tether (USDT) • Circle (USDC)	Stablecoins are VAs that purport or seek to maintain a stable value by referencing one or more fiat currencies or a basket of assets, which may include fiat currencies. They are commonly used for exchange or payment purposes and offer a high degree of usability. Depending on their issuance model and the exchanges on which they are traded, some stablecoins may enable a degree of anonymity. They may also be used to layer illicit funds, as their stable value can mitigate the price volatility that often deters misuse of other types of VAs for ML/TF/PF purposes.	**Medium High**
Utility tokens used to access applications or services Examples: • Basic Attention Token	VAs that enable access to current or planned products or services but aren't otherwise accepted as a means of payment for other products or services. These types of VAs are typically only accepted by the issuer or other users/holders.	Utility tokens generally function similarly to vouchers, providing holders with access to specific platforms, products, or services. These tokens are typically not designed for active trading and do not serve as an efficient means of exchanging or realising value. As a result, utility tokens are generally considered less attractive for use in ML/TF/PF activities.	**Very Low**
Hybrid tokens Example: • Ether	Hybrid tokens have features spanning more than one category of VA.	Given that hybrid tokens may serve more purposes than only those offered by other categories of VAs, these types of tokens may offer novel mechanisms to launder the proceeds of crime or to fund terrorism or PF. Therefore, the level of risk is considered slightly higher.	**Medium**
Non-fungible tokens • Examples: CryptoPunks	NFTs are unique VAs that tend to be used as collectibles rather than as payment or investment instruments. These types of assets are not normally considered VAs under the FATF's definition, nor are they subject to certain regulatory frameworks. However, certain features may bring these types of assets within the VA definition.	NFTs' unique and often subjective valuation makes it difficult to establish a reliable market price, creating opportunities for price manipulation and wash trading. NFTs can also be transferred peer-to-peer on decentralised marketplaces without intermediaries, reducing transparency and traceability. Because of this, NFTs would generally be risk-rated as high for ML/TF/PF purposes, particularly where they are traded in decentralised environments or without robust KYC and provenance verification controls.	**Low**

VAs Prevalent in the IOM

The most prevalent VAs used in the IOM are stablecoins (USDT and USDC), Bitcoin and Ether. The IOM's direct exposure to other types of VAs is negligible. However, the volume and value of transactions incoming and outgoing from oVASPs relating to VAs remains relatively low compared to that of other sectors on Island.

Bitcoin continues to be the VA with the highest market capitalisation, and second most traded VA (with USDT being the most traded VA). All registered active VASPs in the IOM provide services relating to Bitcoin. As can be seen in **Figure 19**, Bitcoin is the VA that was mentioned in the highest number of SARs reported across all sectors, with a total of 1097 in the last 5 years.]The adoption of stablecoins and their use for cross-border remittances is growing exponentially on a global scale. OCGs that use VAs as a means of payment for the sale of illegal goods and services are increasingly favouring stablecoins over other types of VAs, due to their stability in value. In the IOM there has been a notable increase in the use of stablecoins, particularly USDT, to move illicit funds as part of the laundering process, with USDT featuring in several ongoing ML investigations. The ability to trace transactions involving USDT depends on the blockchain network on which they are issued.

Based on the AML/CFT Annual Returns submitted by VASPs to the FSA in 2024, no VASPs deal in privacy coins. Online gaming and gambling operators are prohibited from accepting funds from privacy coins. However, the extent to which domestic consumers are accessing privacy coins from oVASPs or via decentralised exchanges is currently unknown. As can be seen from **Figure 20**, although the numbers are low, there have been some SARs reported to the FIU relating to Monero. No active registered VASP in the IOM provides services relating to utility tokens or NFTs. Although it is likely there is some indirect exposure via oVASPs, this is considered to be low with no SARs reported involving these VA.

INHERENT VULNERABILITIES OF VASP TYPES AND OVERALL RISK SCORE

The table below assesses the inherent vulnerabilities of different types of VASPs and presents the overall risk score for the Isle of Man, taking into account threats, vulnerabilities, and mitigating measures in line with the WB methodology.

VASP type	Description	Characteristics	IOM Risk score[18]
Exchange and transfer	VASPs offering exchange services facilitate VA-to-VA or VA-to-fiat exchanges and may also offer transfer services involving the movement of VAs from a wallet address controlled by the VASP to another wallet address. Examples of VA exchanges include: • Centralised exchanges • Over-the-counter exchanges against proprietary capital • Platforms that facilitate P2P exchangesATMs	VA exchanges are exposed to ML/TF/PF risks as criminals may attempt to use these platforms to place, layer, and integrate the proceeds of crime. The level of ML/TF/PF risk depends on the type of exchange being used. A trading platform operator managing a central limit order book presents a lower risk than an OTC desk where the range of VAs and the size of transactions tend to be significantly larger. ATMs also pose a higher level of risk given the potential for money mules or bought and stolen cards being used to exchange fiat into VAs with no effective customer due diligence being undertaken. Decentralised exchanges are unregulated and usually don't apply any AML/CTF/CPF controls.	Centralised exchanges: **Medium** OTC brokers: **Medium** Decentralised exchanges: **Very High** ATM operators: **Very Low**

VASP type	Description	Characteristics	IOM Risk score[18]
VA wallet providers	VASPs offering custody services maintain custody or control over another natural or legal person's VAs, wallet, or private keys. A non-custodial or unhosted wallet allows users to have full control over their VAs, without the need to rely on a third party or to undertake customer due diligence.	VA wallet providers are most vulnerable to ML/TF/PF risks at the time of deposits and withdrawals as it is often challenging to verify that the assets are being deposited from or withdrawn to addresses owned or controlled by the customer, or to verify the exposure of the VAs to mixers/tumblers or illicit wallet addresses. Nevertheless, custody services alone do not offer an effective means to transfer illicit funds and presents a risk to illicit actors since they do not control the wallets where the VAs are kept. However, in the case of unhosted wallets, users retain full control over their VAs and can initiate transactions either to wallets controlled by VASAPs or on a peer to peer basis, without having to undergo customer due diligence, therefore increasing the risk of ML, TF and PF.	Hosted wallets: **Medium Low** Unhosted wallets: **Very High**
VA investments: Initial Coin Offering (ICO) Providers Stablecoin issuers/ providers	ICOs involve the issuance and sale of VAs to the public and may also involve the participation and provision of financial services in relation to the issuance and sale in one of the following forms: fundraising that involves fiat investments being converted to newly issued VAs; fundraising that involves other VA investments; investments being used to develop new products and services. A stablecoin issuer is entity or organisation responsible for creating and managing a stablecoin and its reserves to maintain its value.	Although newly issued tokens may not offer a practical means to launder illicit proceeds, weak controls or lacking AML/CFT/CPF processes by issuers may allow criminals to purchase these tokens using criminal proceeds and hold them as a speculative investment. Newly issued tokens that are not easily converted into fiat or other VAs may not be attractive to criminals; however, given the inconsistency in approaches taken by issuers and regulators globally, this activity was rated as presenting a medium risk of ML/TF/PF. Stablecoins have been historically used to facilitate trading of VAs on exchanges to avoid friction in fiat currencies. However, stablecoins are increasingly being used by traditional financial institutions to improve efficiencies in cross-border transfers. The stability in value and ease and speed of transactions have made stablecoins increasingly attractive to criminals. The regulatory status of stablecoin issuers varies from country to country.	ICOs: **Medium High** Stablecoin issuers: **Very Low**
Validators / Miners	These types of participants don't tend to be within scope of regulatory regimes for VASPs, however, if a validator or miner issues or redeems VAs by way of business, they may be classified as a VASP. For this reason, the World Bank included these types of operators in its risk assessment tool. Validators or miners validate VA transactions through cryptographic operations and receive rewards in return.	Validators/miners do not present a high level of risk to launder the proceeds of crime, however, these activities may be used to evade international sanctions or for certain types of market abuse practices. Mining does, however, present an opportunity to OCGs and terrorists to raise funds which can then support their criminal activities or fund terrorism or the proliferation of weapons of mass destruction.	**Very Low**

oVASPs prevalent in the IOM

The extent to which oVASPs are actively providing services to domestic consumers is unknown. However, there are no provisions that prohibit domestic consumers from accessing services provided by oVASPs. It is therefore likely that oVASPs are providing services to domestic consumers.
This is supported by the number of information requests made by the FIU to non-domestic VASPs. The materiality, nature (centralised or decentralised), regulatory status and range of products and services is unknown at present, however, an action point has been identified to address this gap and manage any future risk.

The inherent vulnerability of oVASPs providing services to domestic customers has been assessed as **Medium**.

Gaming and gambling operators' exposure to VAs

The general ML risks of gambling in the IOM is highlighted in the Gambling NRA, TF and PF are in separate standalone NRAs. Online gaming and gambling operators that want to allow for the acceptance of, and payment out, in VAs, require prior approval from the GSC.

At the time of conducting this sectoral NRA, 10 operators had applied for, and were permitted to accept deposits in VAs via third parties, requiring the third party to exchange the VA to fiat, before receiving the deposit. No operators have applied to handle VAs directly to date or have been denied permission.
Of the transactions involving VAs linked to these operators, **90%** were in stablecoins (USDT and USDC).

The vulnerability of such operators in dealing with VAs is somewhat mitigated by the fact that operators are only allowed to deal with VASPs that are registered or licensed and comply with FATF Standards.

Operators with exposure to VAs are treated as **Medium High** or high risk by the GSC and therefore subjected to increased supervision.

The inherent vulnerability of gaming operators with exposure to VAs has been assessed as **Medium High**. However, given the effectiveness of the controls both at operator level and at a national level, the final risk level has been scored as **Very Low**.

Other regulated sectors exposure to VAs

At the time of conducting this sectoral NRA, the risk appetite of banks, MSBs, investment firms and other regulated financial services sectors to VAs and VASPs was **Very Low**.

Given the current exposure and domestic risk appetite within industry to deal with VAs and VASPs, the overall vulnerability has been assessed as low. However, this should be closely monitored as VAs and VASPs are becoming increasingly interconnected, and the acceptance of VAs by banks and other financial institutions globally is accelerating.

Additionally, financial institutions could have an indirect exposure to VAs and VASPs which they might not be aware of. Individual customers could be trading in VAs via third party exchanges for example, and sending funds derived from VA activities in fiat to their bank accounts. Likewise, merchants might be accepting VAs for goods and services, working with a VASP to convert the VAs to fiat, and crediting funds into their bank accounts.

The inherent vulnerability within other regulated sectors to VAs has been assessed as **Medium**. However, given the current risk appetite of the sector to VAs and VASPs and the effectiveness of the controls, the final risk level has been scored as **Very Low**. ■



CHAPTER 9

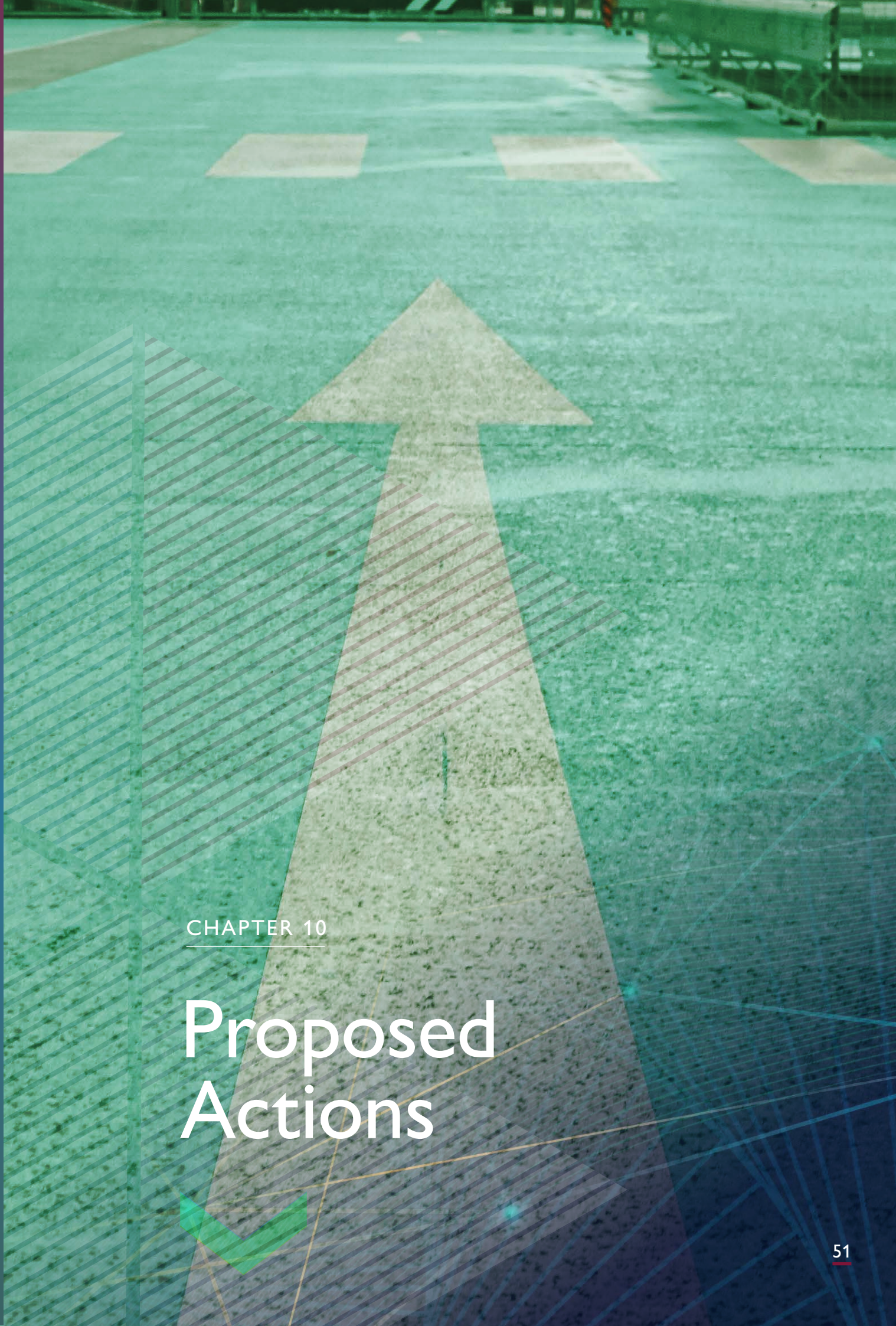
Controls Assessment

9. Controls Assessment

		Rating	Commentary (to be read in conjunction with Appendix I)
1	Effectiveness of domestic entry controls and enforcement for VASPs	**High**	The Island has a comprehensive AML/CFT regulatory framework in place, supported by sector-specific guidance and FAQs. While the VA and domestic VASP sector is less mature than some other parts of the financial services industry, the same AML/CFT regime applies to this sector as well as other financial services and DNFBP sectors and has been in place for VASPs for over 6 years. Overall, the sector generally demonstrates a strong level of understanding of, and compliance with, the AML/CFT framework.
2	Effectiveness of risk-based supervision of domestic VASPs	**High**	With an established risk-based supervisory framework for domestic VASPs, supported by a defined supervisory methodology, the Island is well placed to effectively supervise this sector. This includes submission of AML/CFT returns, the use of targeted questionnaires and thematic reviews, and the conduct of onsite risk-based inspections to assess compliance with requirements. The domestic VASP sector is relatively small, which enables the FSA to maintain a strong understanding of individual firms and their risk files, supporting more effective and proportionate supervision. Collectively, these supervisory tools enable the FSA to identify, assess and respond to financial crime risks within the sector, contributing to an overall effective approach to AML/CFT supervision.
3	Effectiveness of law enforcement capacity to detect and investigate cases involving VAs	**Medium**	Law enforcement authorities on the Island are able to identify and investigate cases involving the misuse of VAs, supported by established investigative powers, domestic coordination arrangements and mechanisms for international cooperation. Law enforcement is generally effective in addressing issues arising from domestic VASPs, reflecting the relatively small size of the sector and a good understanding of relevant business models and risks. Capacity limitations exist in relation to more complex investigations involving foreign entities, including access to specialist skills and tools. Overall, these limitations are assessed as manageable and consistent with a medium level of risk, with capabilities continuing to develop in response to the evolving VA risk landscape.

		Rating	Commentary (to be read in conjunction with Appendix I)
4	National capacity to conduct blockchain analytics in cases	**Medium**	The Island has access to blockchain analytics tools and a developing capability to use them in support of VA–related investigations. While a small number of individuals have the skills and experience to effectively utilise these tools, overall capacity remains limited. Further upskilling and training would enhance the effective, consistent and timely use of blockchain analytics across relevant authorities.
5	Effectiveness of international cooperation and information sharing with foreign counterparts on VASPs	**Medium High**	The widest possible range of international cooperation and information sharing measures are available and established channels are used for this type of engagement. While cooperation is generally effective, challenges remain in relation to the timeliness and complexity of cross-border requests involving VASPs, reflecting differing regulatory frameworks and operational practices.
6	Effectiveness of regulations or guidelines to clarify tax requirements for VAs/VASPs	**Medium**	Domestic authorities currently have limited experience applying CARF requirements to VAs, as the obligations have only recently come into effect. However, the tax authority has been engaging with industry and undertaking training. This, coupled with the awareness of potential tax implications and ongoing coordination with other local and international authorities and other bodies such as the OECD, authorities are preparing to implement the regime effectively.
7	Effectiveness of controls (implementation of preventative measures by domestic VASPS) - Risk assessment and mitigation - Customer identification and due diligence	**Medium High**	Domestic VASPs have implemented key preventative measures, including risk assessments and customer due diligence to the expected standard. Firms generally demonstrate a good understanding and application of these measures, supported by regulatory guidance and ongoing supervision.

8	Effectiveness of controls (implementation of preventative measures by domestic VASPS) - Enhanced measures for higher-risk situations - Travel Rule implementation - Suspicious transaction reporting and monitoring	**High**	Domestic VASPs have implemented robust preventative measures, including enhanced controls for higher-risk situations, and effective suspicious transaction monitoring and reporting. This has been evident following supervision of the active firms over the last few years. Firms generally demonstrate good practice and confirm adherence to these requirements.
9	Effectiveness of controls (implementation of preventative measures by oVASPs with material domestic presence)	**Unknown**	There is currently no data available on the implementation of preventative measures by oVASPs with a material domestic presence. However, given the nature of the sector and the likelihood that local users engage with oVASPs, it is reasonable to assume that some level of activity is occurring domestically. It is unclear whether this constitutes a material domestic presence for regulatory purposes, and no firm conclusions can be drawn about the effectiveness of controls in this context.



CHAPTER 10

Proposed Actions

10. Proposed Actions

This assessment of ML, TF and PF risk for VA and the domestic VASP sector highlights a number of areas where further improvement is advisable. These findings are closely aligned with the strategic objectives outlined in the National Financial Crime Strategy for 2024-2026. By addressing these areas, the sector and the authorities can continue to strengthen the framework against financial crime and ensure a robust, resilient approach to managing risk.

Public sector and industry work together to achieve a common goal of meeting international standards. See Section 9. Controls Assessment

- The IOMFCP groups should consider undertaking work to understand VA-specific risks, formalising intelligence-sharing arrangements, and expanding outreach to operators and professional services sectors on new typologies and technology risks.
- Work should be undertaken to address data and information gaps to support future NRAs in line with the World Bank's recently published methodology on VAs and VASPs, ensuring more robust and consistent data collection for risk assessment purposes.
- In addition, data should be gathered in relation to financial flow activity by VASP entities.
- Continue to enhance law enforcement capacity and capability in relation to VAs by increasing specialist resources, training and technical capacity to investigate, trace and prosecute ML/TF/PF activity involving VAs and VASPs, including strengthening the use of blockchain analytics and cross-border cooperation mechanisms.
- At the appropriate time, consider the application of a broader regulatory framework for VASPs, beyond AML/CFT/CPF requirements, to address prudential, conduct and market integrity risks.

Actions are informed and driven by best practice and standards, both domestically and internationally. See Sections 2. Executive Summary, 7. ML/TF/PF Threats and 8. Inherent Vulnerabilities

- The FSA should continue to conduct risk-based supervision on the sector, taking into account the findings from this NRA. Further improvements can be made which the FSA considers can be driven by the continuation of inspections and the publication of thematic and inspections results.
- The FSA Should enhance its controls over inactive VASPs, including a review of registration conditions, ongoing obligations and potential de-registration thresholds, to mitigate risks associated with a disproportionately high number of registered but inactive entities;
- The FSA should continue to regularly monitor and strengthen entry controls in order to ensure they remain relevant and appropriate in respect of emerging typologies and evolving international standards. There should be enhanced scrutiny at the application stage through more detailed assessment of applicants' business models, product offerings and inherent risk profiles, and by requiring timely notification of any material changes to registered VASPs' activities, with such changes triggering supervisory review and updates to VASPs processes and documentation

- The FSA should further develop the ongoing screening of controlled function holders.
- The FSA should, via engagement and data collection with other sectors, improve its understanding of other financial institutions' exposure to VAs and VASPs.

All stakeholders have the resources they need to effectively identify and respond to ML/TF/FP threats. See Sections 2. Executive Summary, 7. ML/TF/PF Threats and 8. Inherent Vulnerabilities

- The sector should review the findings of this Risk Assessment and ensure that identified actions are adopted into business, customer, and technology risk assessments as appropriate.
- The FSA should update the AML/CFT Sector Guidance for VASPs.

Appendix I: VASP registration and Supervision in the IOM

VASP REGISTRATION PROCESS

The IOM's DBRO Act, requires that an application to be:

- registered as a Designated Business includes, at a minimum, the following information:
  - the applicant's name;
  - a description of the designated business (Business Details Form);
  - Business Risk Assessment;
  - VASP questionnaire;
  - any address from which the applicant carries on or intends to carry on such business; and
  - details of any person who is a specified person in relation to the applicant (Specified Person Questionnaire).

Under the AML/CFT Code 2019, obliged entities (which includes all FSA licensed and registered entities) are mandated to undertake several risk assessments, including a business risk assessment, customer risk assessments, technology risk assessment. The business and technology risk assessments must be undertaken as soon as reasonably practicable after the entity commences business, while the customer risk assessment must be performed prior to establishing a business relationship or undertaking an occasional transaction with or for a customer.

As part of its registration process, the FSA undertakes a Fit and Proper (F&P) Person test to ensure that all individuals involved in the operation of the VASP meet the Authority's F&P expectations. This involves the review of Personal Questionnaires and, in some cases, interviews to further ascertain an individual's competence and integrity.

Registrations are considered on a case-by-case basis and may be granted with or without specific conditions attached. Once registered, the registration remains effective until revoked or until the person is de-registered.

To assist applicants seeking registration as Designated Businesses, the FSA issued guidance under **section 9(6)** of the DBRO Act in the form of the Designated Businesses Registration Policy (DBRP).

To be registered as a Designated Business, the DBRO Act establishes that businesses must have, on a continuing basis, a minimum of two IOM resident directors and be managed and controlled in the Island. A "real presence test" is undertaken to assess that the VA

activity ›will, in effect, be undertaken in or from the IOM, with key operational decisions taking place in the jurisdiction. The FSA has made it clear that the expected management and control requirements will not be met through the appointment of Directors provided by Corporate Service Providers.

Additionally, under the AML/CFT Code 2019, an MLRO must be appointed and will be treated as a specified person.

The FSA's assessment of applications for registration by Designated Businesses places significant focus on the fitness and propriety of the individuals associated with the business. For this reason, prior to the appointment of an individual to a management or control function such as that of directors or principals, confirmation that the FSA has no objections to the appointment should be sought. Similarly, proposed changes to a registered Designated Business' ownership structure may require prior notification to the FSA in line with section 19 of the DBRO Act.

When part of a group, the FSA may request information about other group entities from the applicant, other regulatory authorities, and the group entities in question.

It is the FSA's Policy to refuse to register an applicant that engages in the business of issuing a VA, where the VA provides no benefit to the purchaser. The examples provided include ICOs where there is no reasonable basis for any expected capital growth of the value of the VA, and ICOs which convey: limited or no rights to the income generated from the project; limited or no rights to use the assets developed, purchased, or acquired with the funds raised by the ICO.

The FSA's service level standards to review and determine whether to register a VASP is three months from the date a complete application is received. Once registered, a Designated Business must notify the FSA of any changes to the information provided during the application process. However, since VASPs are not subject to Conduct of business rules, these types of entities are not required to notify their intention to make changes to their business models. This means that a registered VASP may provide additional VA services without prior notification to the FSA.

TRAINING AND STAFF

The FSA staff regularly undertake continued professional development in all areas of the supervisory landscape.

- A number of staff have obtained virtual asset centric qualifications:
  - ICA Specialist Certificate in Money Laundering Risk in New Technology
  - ACAMS Certified Cryptoasset Specialist
  - Basel Institute of Governance Cryptocurrency Training
  - Third party tool Operational Training

- One staff member has led the last two MONEVYAL Virtual Asset targeted Typology Reports, as well as given expert opinion to other third-party reports.

ONGOING SUPERVISION

VASPs are subject to ongoing supervision by the FSA's AML/CFT Supervision Division which applies a risk-based approach in respect of AML/CFT Supervision to all regulated and registered businesses. Like Financial Institutions, Designated Businesses must submit an AML/CFT Return on or before 31 March every year, which, at a minimum, must include a declaration as to the extent to which the registered person meets the requirements of AML/CFT/CPF legislation.

The FSA has the power to carry out inspections and investigations, which may include inspecting books, accounts and documents, and investigating transactions at a registered Designated Business' premises to assess the extent to which it meets the requirements of the DBRO Act and the applicable AML/CFT/CPF legislation, as well as the Designated Business' Policies and Procedures to comply with the DBRO Act and relevant AML/CFT/CPF legislation.

The data obtained from the AML/CFT Return undergoes a risk assessment methodology through the FSA's STRIX tool to assign a risk rating to every supervised firm. This informs the FSA's risk-based supervisory plan, which comprises separate proposals for supervisory engagement (.e.g. compliance meetings) and risk or event- driven inspections.

Supervised entities' AML/CFT/CPF risk ratings are managed within STRIX, which assesses firms' Inherent risk profiles and scores against their Scored controls using the embedded ›

STRIX methodology set by the FSA. Additional oversight and assessment of controls is undertaken via the supervisor's assessed controls within the Assessment Profile of the Controls Profile, managed from the Division's internal supervisor adjustment panel process.

The AML/CFT Supervision Division has undertaken a VASP questionnaire/thematic review to aid the FSA's understanding of the products and services offered by VASPs, which will in turn inform sector-specific guidance. The questionnaire also collected data regarding the Travel Rule. ›

Case Study

Between 2000 and 2025, a VASP was selected as part of the engagement plan for inspection by the FSA.

Following this inspection, a number of contraventions of the AML/CFT Code were identified, with further matters that could be improved in line with best practice.

The areas of the AML/CFT Code that were contravened included:

- Procedures and Policies
- Business Risk Assessment
- Customer Risk Assessment
- Technology Risk Assessment
- Customer Due Diligence
- Occasional Transactions
- Ongoing Monitoring
- Enhanced Customer Due Diligence
- Fictitious, anonymous and numbered accounts

As a result of the inspection findings, the firm was instructed, in the first instance, to supply the FSA with a concise plan to remediate the identified failings.

Working collaboratively with the firm, and monitoring the oversight of this remediation exercise, the FSA and the firm were able to ensure that sufficient remediation had taken place. A further inspection of the firm, undertaken recently as part of the FSA's annual inspection schedule for Higher Risk businesses, found that the deficiencies identified in the previous inspection remain properly managed and are no longer evident.

TRAVEL RULE

The IOM's Travel Rule (Transfer of Virtual Assets) Code came into operation on 28 October 2024. The Travel Rule Code implements the FATF's Recommendation 16, introducing obligations on Originating and Beneficiary VASPs in line with the requirements under the FATF's Recommendations.

Although the Travel Rule Code only came into application in October 2024, over half of total registered VASPs indicated that they are complying with the relevant requirements; this included the 4 active VASPs. This is undertaken in different ways, either through policies and procedures for smaller volume firms, or integrated and automated systems for the larger volume firms.

In the IOM, firms are required to collect information relating to the beneficiary and originator for transactions involving un-hosted wallets.

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Appendix II: Authorisation and Supervision of Gaming Operators with Exposure to VAs

AUTHORISATION OF ONLINE GAMING AND GAMBLING OPERATORS

Online gambling operators are licensed under the Online Gambling Regulation Act 2001, which defines online gambling as:

- any gaming, where any player enters or may enter the game or take or may take any step in the game, by means of an electronic communication;
- the negotiating or receiving of any bet by means of an electronic communication; or
- any lottery in which any participant acquires or may acquire a chance by means of an electronic communication.

The licensing process involves stringent fit and proper checks on beneficial owners and controllers, as well as source of funds and source of wealth (SOW) checks. Where the SOW derives from VAs, the GSC undertakes enhanced checks which include a VA-audit by an approved party. Applicants are also required to submit their AML/CFT/CPF policy, BRA, CRA and TRA, and appoint a suitably qualified MLRO and AML/CFT/CPF compliance officer, all of which are reviewed and considered by the GSC before granting a licence.

Regarding operators' exposure to VASPs, the guidance issued by the GSC to date requires that operators dealing with VASPs only do so where those VASPs are subject to appropriate AML/CFT/CPF measures as required by the FATF. The assessment to determine whether this is the case is undertaken by each operator. The suitability of the assessment carried out by the operator is then checked by the GSC as part of its onsite inspections.

ONGOING SUPERVISION OF ONLINE GAMING AND GAMBLING OPERATORS

Under the Gambling (Anti-Money Laundering and Countering the Financing of Terrorism) Code 2019, operators are required to undertake three separate risk assessments to assess their ML/TF/PF risk exposure:

- AML/CFT BRA;
- TRA
- CRA.

If operators wish to utilise VAs, additional licence conditions are applied setting lower thresholds for reporting and specifying training and blockchain analytic tools.

These are submitted to the GSC and reviewed at applications stage. Within 9 months of commencing business, the GSC will conduct an inspection to test the effectiveness of these controls.

A TRA must also be undertaken prior to the launch or implementation of new products, business practices, and delivery methods, as well as prior to the use of new or developing technologies for new and pre-existing products. ›

Additional AML/CFT/CPF requirements include undertaking customer due diligence and ongoing monitoring, record-keeping and reporting obligations, staff training, and compliance monitoring.

The Gambling (Anti-Money Laundering and Countering the Financing of Terrorism) Act 2018 outlines the GSC's powers in relation to information requests, inspections, investigations, enforcement, and sanctioning.

Operators submit quarterly financial returns and annual AML/CFT returns to the GSC which feed into the commission's risk scoring methodology and subsequent level of supervision. The information submitted in these reports includes data on deposits and withdrawals broken down by jurisdiction, number of VA customers and transactions, and transaction frequency. If additional information is required, the GSC may collect this via questionnaires issued on an ad hoc basis, the GSC collected targeted information on operators' exposure to PF and the controls in place to mitigate this risk, following which, a typology report was published[19]. In the process of analysing the returns, the use of VA is given additional weight to highlight the potential risks present.

The GSC undertakes different inspections based on operators' risk-ratings, including desk-based reviews, targeted inspections (desk-based + on-site reviews), and full inspections. All operators are subject to on-site full inspections, the frequency of which is determined on a risk based approach. **Medium High** and high-risk operators undergo full inspections every nine months. Findings from these inspections feed into the GSC's risk assessment of operators, determining the frequency of future inspections.

The GSC has been proactive in ensuring that relevant staff receive adequate training to fulfil their obligations. Since 2021, multiple internal and external training sessions have been organised and delivered to staff.

Although the GSC has issued extensive guidance relating to the risks involved with VA interactions, the authority is looking to enhance its general and software provider guides to update these with its expectations as well as to reflect emerging trends.

Case Study

Typology – Review of AML/CFT/CPF controls

Operator A, which operated a pure Virtual Asset (VA) model, was selected for a Full On-Site Inspection in 2024 due to its classification as high risk for money laundering. This assessment was influenced by both the operator's ability to accept VAs and its active use of VA in operations, which are two separate factors considered in the GSC's quarterly risk assessments.

The inspection process included a self-assessment (desktop review) and an on-site visit to evaluate the effectiveness of the operator's AML/CFT/CPF policies and procedures.

The inspection identified several technical deficiencies, including:

- Failure to apply relevant risk factors associated with VAs and their corresponding AML/CFT/CPF implications;
- The TRA did not consider risks related to VA acceptance;
- Use of anonymiser software in VA transactions was not recognised as a risk factor;
- Absence of blockchain analysis or monitoring to verify the source of wealth derived from VAs;
- No evidence of specific staff training on VA-related risks.

Due to these findings, the matter was referred to the Enforcement Team for further review. The enforcement case remains ongoing. Operator A subsequently surrendered its licence before a targeted follow-up inspection could take place.

Further GSC Case Studies

Typology – Applicant Screening and source of funds/wealth checks

Applicant B submitted an application for a licence to operate within the VASP sector. During the application review, internal screening processes and a referral from a related party identified negative open-source intelligence concerning the applicant's ownership structure.

Open-source information, including an official FBI statement and criminal charges, revealed that two UBOs had been arrested in connection with a multi-million-dollar VA fraud and money laundering scheme. The same sources referenced several associated entities, one of which was proposed to provide customer support services to Applicant E.

A detailed review of the application documents, including information on the UBOs' previous ventures and sources of funds and wealth, indicated that part of the applicant's funding originated from a company involved in VA mining services. This company had itself received financing from one of the entities named in the open-source material.

Typology – Thematic investigation and Enhanced Due Diligence (EDD)

Operator C was granted a licence in 2023. In 2025, an investigation was initiated due to inconsistencies between the operator's financial projections and actual activity, including a sudden cessation of operations and reported losses. Risk assessments also considered potential geopolitical connections to Russia and Ukraine.

To support the investigation, GSC commissioned an EDD report from a specialist provider. The EDD findings revealed that the UBO had been implicated in match-fixing allegations and had received substantial VA transfers from a fraudulent payment service provider. Open-source intelligence suggested that these transfers were linked to an international money laundering investigation.

While the investigation could not conclusively determine the UBO's direct involvement in these activities, it did confirm that the UBO's bank statements reflected VA-related income, via a well known global VA exchange. These funds were subsequently used to finance Operator C's operations and property acquisitions. Further review of the property transactions identified additional adverse media and further links to the UBO.

Operator C is no longer licensed.

Appendix III: Typologies Based on FIU SARs

The IOM's FIU has identified the following typologies based on the suspicious activity reports it has received, which involve the use of VAs or VASPs:

Typology	Example	Scenario
Fraud	• Ponzi schemes • Rug pulls • Investment scams	**Victim A** has a hosted wallet with a regulated VASP. Victim A is contacted on social media by Perpetrator A who states they offer advice on cryptocurrency trading and investment. They state Victim A can expect large returns quickly. Victim A initially transfers a small amount of funds to Perpetrator A and large returns are displayed on Perpetrator A's online trading platform. Due to the success Victim A transfers more funds following encouragement from Perpetrator A. Victim A following his perceived success wished to withdraw part of his profits. Perpetrator A stated this wasn't possible and stated that a large fee was required to release the funds. Victim A at this point realised he had been defrauded and was a victim of an investment scam. The regulated exchange reported this to the FIU following contact from the victim.
Forgery	Forged documentation used to open accounts to access VASPs' services.	**Perpetrator B** attempts to open an account with a regulated VASP. Before the account can be used customer due diligence documentation is requested along with a selfie to verify the individual's identity. Perpetrator B provides a passport and selfie that appear to have been edited. The regulated exchange makes a report to the FIU suspecting that Perpetrator B attempted to open an account with forged documents.
Cyber-crime	Wallet compromise using phishing scams/ airdrop scams	**Perpetrator C** sends a link to Victim B promising a reward for completing a survey to be paid in cryptocurrency. Victim B clicks the link, and this installs malware on Victim B's device. Victim B assumes the link hasn't worked as nothing popped up. During this time the malware identifies Victim B's private cryptocurrency wallet keys and Perpetrator C now has direct access to Victim B's personal wallet. Perpetrator C drains the wallet of all funds sending the funds to wallets in his control. Victim B is a victim of cybercrime carried out by Perpetrator C.

Appendix IV: Typologies Involving VAs but not Isle of Man VASPs

Typologies involving VAs but not Isle of Man VASPs:

- Reported criminality typically takes place outside the Isle of Man and the UK.
- A significant portion of the activities involving VAs come from the iGaming sector, which occasionally accept VAs as a method of payment.

Typology	Scenario
Fraud Fraud is still commonly observed, advanced push payments scams involving individuals using fiat money to purchase virtual currency and then not receiving the currency promised are common.	**Victim D** responds to a social media advertisement advertising large returns should the individual choose to buy virtual assets through the seller. Victim D contacts Perpetrator D for more information and chooses to purchase GBP 500.00 of virtual assets. Victim D sends the funds to Perpetrator D via bank transfer. Upon receipt of the funds Perpetrator D blocks Victim D and does not provide the virtual assets promised as part of the agreement. Perpetrator D defrauds Victim D. Victim D's bank reported this to the FIU on behalf of the victim.
Tax crimes Lack of reporting of cryptocurrency assets held, sales, or profits to central tax authorities in certain countries can be considered evasion of tax.	**Perpetrator E** is in the process of moving the administration of his business from another country to the Isle of Man. During the onboarding process the corporate service provider conducts enhanced due diligence on the business owner. When they receive this documentation, they notice that a large part of Perpetrator E's wealth was generated through the sale of cryptocurrency. The corporate service provider requested a copy of Perpetrator E's tax return for the country he was tax resident in for the year of the sale. They noted that the cryptocurrency sale was not declared on the tax return. In that country profits of cryptocurrency sales over a prescribed amount are subject to income tax. By failing to declare the sale Perpetrator E was suspected to be evading tax. The corporate service provider reported this to the FIU.

Typology	Scenario
Indirect VA exposure All of the banks on the Isle of Man do not directly accept cryptocurrency. Due to the lack of knowledge around cryptocurrency and the organisations that enable the conversion of virtual assets to Fiat currency, banks can unknowingly accept the proceeds of crime through a financial institution directly involved with the conversion of cryptocurrency, or a financial institution a few steps removed. These financial institutions may have weaker controls. Virtual IBANs are commonly used to further layer funds. Organised criminals may exploit this process to launder the proceeds of crime on a large scale, generated or laundered using the blockchain.	**Perpetrator F** owns an IT security company who are based on the Isle of Man. They sell IT security services to various companies around the world. They bank with a bank on the Isle of Man. All funds they receive into the account originate from payment service providers who utilise virtual IBANs. The bank on the Isle of Man identified the payment flows were in excess of expected activity. The bank conducted a client review of Perpetrator F's IT security company. They identified adverse media for some of the clients of the company linking them to cryptocurrency scams and human rights violations. Investigation of the payment service providers identified they dealt in the conversion of virtual assets or were part of a group that undertook this function. The bank requested invoices for Perpetrator F's clients. These invoices were extremely basic in nature and the breakdown of services provided was extremely generic. The amounts charged for these services appeared excessive. The bank noted the majority of the funds received were transferred to various group companies and there was a lack of expenditure for staff salaries given the size of the operation and for the purchase of additional IT infrastructure. The bank was suspicious they were receiving the proceeds of crime originating from on chain cryptocurrency crime and this was being layered/laundered by Perpetrator F's IT security company. The bank suspected Perpetrator F's company were using the guise of providing essential services and receiving payment for these services to launder large amounts of criminal funds generated on the blockchain.

Appendix V - Abbreviations

Abbreviation	Definition (as used in the report)
AGC	Attorney General's Chambers
AI	Artificial Intelligence
AML/CFT	Anti-Money Laundering/Countering the Financing of Terrorism
ANRI	Attractiveness for Non-Resident Incorporation
BEPS	Base erosion and Profit Shifting
BOA	Beneficial Ownership Act 2017
BRA	Business Risk Assessment
BVI	Virgin Islands (British)
BVIBC	British Virgin Islands Business Company
C&I	Customs and Immigration Division
CD	Crown Dependency
CDD	Customer Due Diligence
CEP	Commercially Exposed Person
CIS	Collective Investment Scheme
CMLO	Chinese Money Laundering Organisation
CMP	Compliance Monitoring Plan
CODA	Company Officers (Disqualification) Act 2009
CoRA	Company Risk Assessment
CRA	Customer Risk Assessment
CRS	Common Reporting Standard
CSP	Corporate Service Provider
DAQL	Data Assurance Quality Lead
DeFi	Decentralised Finance
DfE	Department for Enterprise
DNFBP	Designated Non-financial Business or Profession
EDD	Enhanced Due Diligence
EON	Exchange of Notes
FATCA	Foreign Account Tax Compliance Act
FATF	Financial Action Task Force
FCARU	Financial Crime and Asset Recovery Unit
FCP	Financial Crime Partnership
FI	Financial Institution
FIA	Financial Investigation Agency (BVI)
FIU	Financial Intelligence Unit
FSA	Financial Services Authority

Abbreviation	Definition (as used in the report)
FSC	Financial Services Commission (BVI)
FUR	Follow-Up Report
GenAI	Generative Artificial Intelligence
GIFCS	Group of International Finance Centre Supervisors
GSC	Gambling Supervision Commission
ICART	International Cooperation and Asset Recovery Team
ICC	Incorporated Cell Company
IFC	International Finance Centre
IO	Immediate Outcome
IOM	Isle of Man
IOMC	Isle of Man Constabulary
IOMFCP	Isle of Man Financial Crime Partnership
ITD	Income Tax Division
IVTS	Informal Value Transfer System
KPI	Key Performance Indicator
LEA	Law Enforcement Agency
LLC	Limited Liability Company
LPA	Legal Person/Arrangement
MCU	Manx Credit Union Limited
ML	Money Laundering
MLA	Mutual Legal Assistance
NECC	National Economic Crime Centre (UK)
NRA	National Risk Assessment
OCG	Organised Crime Group
OECD	Organisation for Economic Co-operation and Development
PCC	Protected Cell Company
PEP	Politically Exposed Person
PF	Proliferation Financing
PIMLIT	Proactive International Money Laundering Investigation Team
POCA	Proceeds of Crime Act 2008
PPP	Public–Private Partnership
PTC	Private Trust Company
RBO	Registrable Beneficial Owner
SAR	Suspicious Activity Report
SPV	Special Purpose Vehicle
TCSP	Trust and Corporate Service Provider
TF	Terrorist Financing
UAE	United Arab Emirates
UBO	Ultimate Beneficial Owner
UK	United Kingdom
US	United States
VAT	Value-Added Tax
VISTA	Virgin Islands Special Trusts Act (BVI)

Endnotes

1 "Travel Rule (Transfer of Virtual Assets) Code 2024": https://www.gov.im/media/1386538/travelrule-transferofvirtualassets-code2024.pdf

2 "A Profile of the Isle of Man (2025)": https://www.gov.im/media/1389539/a-profile-of-the-isle-of-man-2025-_compressed-210525.pdf

3 For the purposes of this report, virtual assets (VAs) are treated as the product/activity, while virtual asset service providers (VASPs), regulated under the "Designated Businesses (Registration and Oversight) Act: https://www.iomfsa.im/media/2387/designatedbusinessesregistrationandoversightact2015.pdf, are treated as the sector, as defined in paragraph 1 (mm) of Schedule 4 of the "Proceeds of Crime Act 2008": https://www.legislation.gov.im/cms/images/LEGISLATION/PRINCIPAL/2008/2008-0013/2008-0013_14.pdf

4 As per FATF definition: Anonymity-enhancing technologies or mechanisms designed to obscure the origin, destination, or owner of virtual assets

5 https://www.gov.im/about-the-government/departments/home-affairs/executive-office/anti-money-laundering-legislation-and-countering-the-financing-of-terrorism-amlcft/

6 https://coinmarketcap.com

7 https://coinmarketcap.com/view/stablecoin/

8 CoinMarketCap Charts:https://coinmarketcap.com/charts/

9 2025 Crypto Crime Trends: https://www.chainalysis.com/blog/2025-crypto-crime-report-introduction/

10 Europol Internet Organised Crime Threat Assessment 2024: https://www.europol.europa.eu/cms/sites/default/files/documents/Internet%20Organised%20Crime%20Threat%20Assessment%20IOCTA%202024.pdf

11 United Nations Office on Drugs and Crime (UNODC), Casinos, Money Laundering, Underground Banking and Transnational Organized Crime in East and Southeast Asia: A Hidden and Accelerating Threat, January 2024: https://www.unodc.org/roseap/uploads/documents/Publications/2024/Casino_Underground_Banking_Report_2024.pdf

12 Where an entity on the Isle of Man accepts 15,000 euros or currency equivalent they would have to register with the FSA and would be subject to the requirements of the AML/CFT Code.

13 Virtual Assets Mining: Typologies, Risks and Responses: https://www.rusi.org/explore-our-research/publications/emerging-insights/virtual-asset-mining-typologies-risks-and-responses

14 https://rusi.org/explore-our-research/publications/special-resources/counterproliferation-financing-virtual-asset-service-providers

15 https://www.gov.im/about-the-government/departments/home-affairs/executive-office/anti-money-laundering-legislation-and-countering-the-financing-of-terrorism-amlcft/

16 Note: these are text search results of the FIU online reporting platform and therefore may have some small degree of error.

17 As scored in the WB Methodology and tool

18 As scored in the WB Methodology and tool

19 https://www.isleofmangsc.com/media/bzuhloyn/gambling-pf-typologies.pdf